THE WAVE PRINCIPLE

Ralph Elliott All rights reserved. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic, mechanical, photocopying or otherwise, without the prior permission of the copyright owner.

© Copyright 2012 by Snowball Publishing For information regarding special discounts for bulk purchases, please contact Snowball Publishing at

R. N. ELLIOTT'S MASTERWORKS

New York City.

HAnover 2 7887Oct. 1, 1938 A remarkable phenomenon and a secret heretofore carefully guarded, is now disclosed. It londs itself to both long and short term trading and is unique because it; (a) Really forecasts (makes known beforehand), (b) Has no resemblance whatsoever to any device heretofore offered, (c) Requires no confirmation, mathematical calculations or oostly statistical research.

One reading of the treatise will give a general idea of

THE WAVE PRINCIPLE

but, like a text book, it requires application to learn. Price $15.00 In due course Interpretative Letters, applied to the current market, will be available.

THE WAVE PRINCIPLE

All rights reserved.

Permission has been granted the author to reproduce charts prepared by: E. W. Axe & Co., Standard Statistics Co. Inc., New York Stock Exchange, Barrons, The National Financial Weekly. Dow-Jones & Co., Inc.

Numbering and lettering of waves was done by the author and is protect Warning:When a newly discovered phenomenon is disclosed, self-appointed "exp Considerable experience is required to interpret correctly waves which a Long distance forecasting requires thorough familiarity with historical p No interpretation of the Wave Principle should be accepted as valid unle * What Elliott meant was that no rallies in the few years following publication in 1938 would develop into five-wave bull markets, since a bear market of Cycle degree was still in progress from 1937. He was absolutely correct. No "bull market" occurred until 1942-1946.

I

RHYTHM IN NATURE

No truth meets more general acceptance than that the universe is ruled by law. Without law it is self-evident there would be chaos, and where chaos is, nothing is. Navigation, chemistry, aeronautics, architecture, radio transmission, surgery, music - the gamut, indeed, of art and science - all work, in dealing with things animate and things inanimate, under law because nature herself works in this way. Since the very character of law is order, or constancy, it follows that all that happens will repeat and can be predicted if we know the law.

Columbus, maintaining that the world was round, predicted that a westward course from Europe must eventually bring his ships to land and despite scoffers, even among his own crew, saw his prediction realized. Halley, calculating the orbit of the 1682 comet, predicted its return which was strikingly verified in 1759. Marconi, after his studies in electrical transmission, predicted that sound could be conveyed without wires, and today we can sit in our homes and listen to musical and other programs from across the ocean. These men, as have countless more in other fields, learned the law. After becoming thus posted, prediction was easy because it became mathematical.

Even though we may not understand the cause underlying a particular phenomenon, we can, by observation, predict that phenomenon's recurrence. The sun was expected to recurrently rise at a fixed time thousands of years before the cause operating to produce this result was known. Indians fix their month by each new moon, but even today cannot tell why regular intervals characterize this heavenly sign. Spring plantings are witnessed the world over because summer is expected as next in order; yet how many planters understand why they are afforded this constancy of the seasons? In each instance the rhythm of the particular phenomenon was mastered.

Man is no less a natural object than the sun or the moon, and his actions, too, in their metrical occurrence, are subject to analysis. Human activities, while amazing in character, if approached from the rhythmical bias, contain a precise and natural answer to some of our most perplexing problems. Furthermore, because man is subject to rhythmical procedure, calculations having to do with his activities can be projected far into the future with a justification and certainty heretofore unattainable.

Very extensive research in connection with what may be termed human activities indicates that practically all developments which result from our social- economic processes follow a law that causes them to repeat themselves in similar and constantly recurring serials of waves or impulses of definite number and pattern. It is likewise indicated that in their intensity, these waves or impulses bear a consistent relation to one another and to the passage of time. In order to best illustrate and expound this phenomenon it is necessary to take, in the field of man's activities, some example which furnishes an abundance of reliable data and for such purpose there is nothing better than the stock exchange.

Particular attention has been given to the stock market for two reasons. In the first place, there is no other field in which prediction has been essayed with such great intensity and with so little result. Economists, statisticians, technicians, business leaders, and bankers, all have had a try at foretelling the future of prices over the New York Stock Exchange. Indeed, there has developed a definite profession with market forecasting as its objective. Yet 1929 came and went, and the turn from the greatest bull market on record to the greatest bear market on record caught almost every investor off guard. Leading investment institutions, spending hundreds of thousands of dollars yearly on market research, were caught by surprise and suffered millions of dollars loss because of price shrinkage in stock holdings that were carried too long.

A second reason for choosing the stock market as an illustration of the wave impulse common to social-economic activity is the great reward attendant on successful stock market prediction. Even accidental success in some single market forecast has yielded riches little short of the fabulous. In the market advance from July 1932 to March 1937, for illustration, an average of thirty leading and representative stocks advanced by 373%. During the course of this five-year movement, however, there were individual stocks whose per cent advance was much larger. Lastly, the broad advance cited above was not in a straight upward line, but rather by a series of upward and downward steps, or zig-zag movements of a number of months' duration. These lesser swings afforded even greater opportunity for profit.

Despite the attention given the stock market, success, both in the accuracy of prediction and the bounties attendant thereto, has necessarily been haphazard because those who have attempted to deal with the market's movements have failed to recognize the extent to which the market is a psychological phenomenon. They have not grasped the fact that there is regularity underlying the fluctuations of the market, or, stated otherwise, that price movements in stocks are subject to rhythms, or an ordered sequence. Thus market predictions, as those who have had any experience in the subject well know, have lacked certainty or value of any but an accidental kind.

But the market has its law, just as is true of other things throughout the universe. Were there no law, there could be no center about which prices could revolve and, therefore, no market. Instead, there would be a daily series of disorganized, confused price fluctuations without reason or order anywhere apparent. A close study of the market, however, as will be subsequently disclosed, proves that this is not the case. Rhythm, or regular, measured, and harmonious movement, is to be discerned. This law behind the market can be discovered only when the market is viewed in its proper light, and then is analyzed from this approach. Simply put, the stock market is a creation of man and therefore reflects human idiosyncrasy. In the pages which follow, the law, or rhythm, to which man responds will be disclosed as registered by market movements that fluctuate in accordance with a definite wave principle.

The Wave Principle is a phenomenon that has always functioned in every human activity. Waves of different degrees occur whether or not recording machinery is present. When the machinery described below is present, the patterns of waves are perfected and become visible to the experienced eye.

A. Extensive commercial activity represented by corporations whose ownership is widely distributed.

B. A general market-place where buyer and seller may contact quickly through representatives.

C. Reliable record and publications of transactions.

D. Adequate statistics available on all matters relating to corporations.

E. Daily high and low range charted in such a manner as will disclose the waves of all degrees as they occur.

The daily range of stock transactions was inaugurated in 1928 and the hourly record in 1932. These are necessary in order to observe the minor and minute waves, especially in fast markets.

The Wave Principle does not require confirmation by two averages. Each average, group, stock or any human activity is interpreted by its own waves. Behavior of waves has been fairly well explored, but application is in its infancy.[1]

[1] Here Elliott suggests, correctly I think, that once one knows the Principle it is easy to recognize and follow, but it takes practice to be able to forecast the market from it. On the other hand, it is not necessary to forecast in order to trade successfully. As Elliott said in a letter to Collins, "I consider that it is far more important to know when the terminals are actually reached than to forecast a 'guess'."

II

STOCK MARKET WAVES

Human emotions, as mentioned in the preceding discussion, are rhythmical. They move in waves of a definite number and direction. The phenomenon occurs in all human activities, whether it is business, politics, or the pursuit of pleasure. It is particularly evident in those free markets where public participation in price movements is extensive. Bond, stock and commodity price trends are therefore especially subject to examination and demonstration of the wave movement. This treatise has made use of price movements in stocks to illustrate the phenomenon, but all the principles laid down herein are equally applicable to the wave movement in every field where human endeavor is registered.

A completed movement consists of five waves. Why this should be five rather than some other number is one of the secrets of the universe. No attempt will be made to explain it, although, in passing, it might be observed that the figure five is prominent in other basic patterns of nature. Taking the human body, for example, there are five extensions from the torso - head, two legs, two arms; five extensions from head - two ears, two eyes, the nose; five extensions in the form of fingers, from each arm, and in the form of toes, from each leg; five physical senses - taste, smell, sight, touch, hearing; and so the story might be repeated elsewhere. In any event, five waves are basic to a completed social movement and can be accepted without necessity of reasoning the matter out.

Three of the five waves that form any completed movement will be in the direction of the movement; two of the waves will be in a contrary direction. The first, third and fifth waves represent the forward impulse; the second and fourth waves, the contrary, or corrective. Stated otherwise, the odd numbered waves are in the main direction; the even numbered waves, against the main direction. This is illustrated in Figure 1.

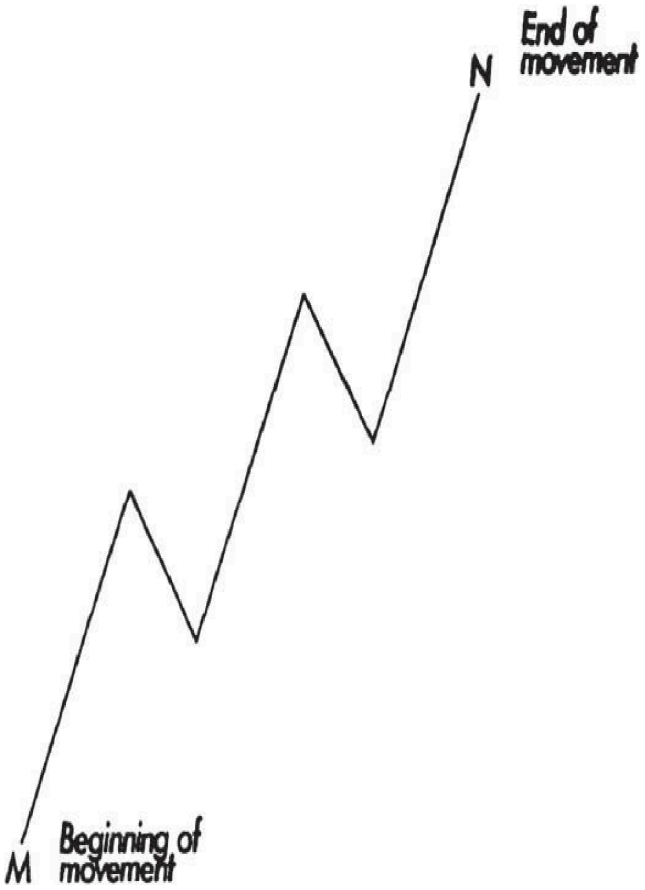


Figure 1

Five waves of one dimension become the first wave of the next greater dimension or degree. As an example of this, the five waves in Figure 1 progressed from point M to point N. In Figure 2, however, representing a next higher degree of movement than the one just illustrated, it will be seen that the movement from M to N is but one wave of the five-wave movement M to R. The movement M to R, in turn, becomes but the first wave of a movement of still higher degree.

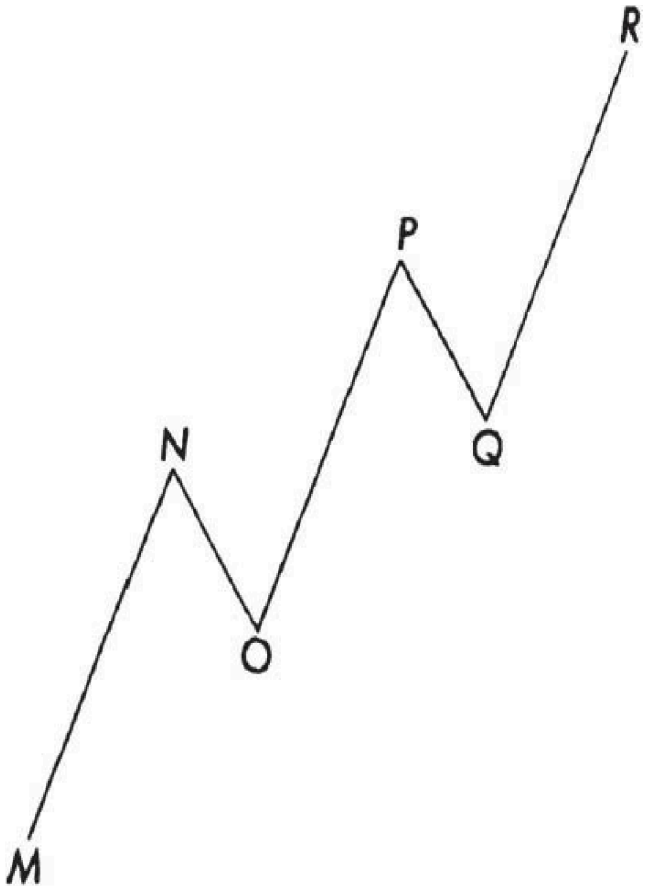


Figure 2

III

IDENTIFYING THE WAVES

In the preceding discussion the wave movement in stock prices was rather generally treated, the main point established being that a movement consists of five waves, and that the five waves of one movement equal the first wave of a next higher movement. At this point a second basic fact with respect to the wave movement should be introduced. This concerns a difference between the odd numbered and the even numbered waves.

Waves one, three and five, it will be recalled, are impulses in the main direction, whereas waves two and four are reverse movements. Wave two serves to correct wave one, and wave four serves to correct wave three. The difference between waves in the main direction and waves against the main direction is that the former are divisible into five waves of lesser degree, whereas the latter are divisible into but three waves of the lesser degree. In the preceding discussion, the movement M to N was shown as in Figure 3.

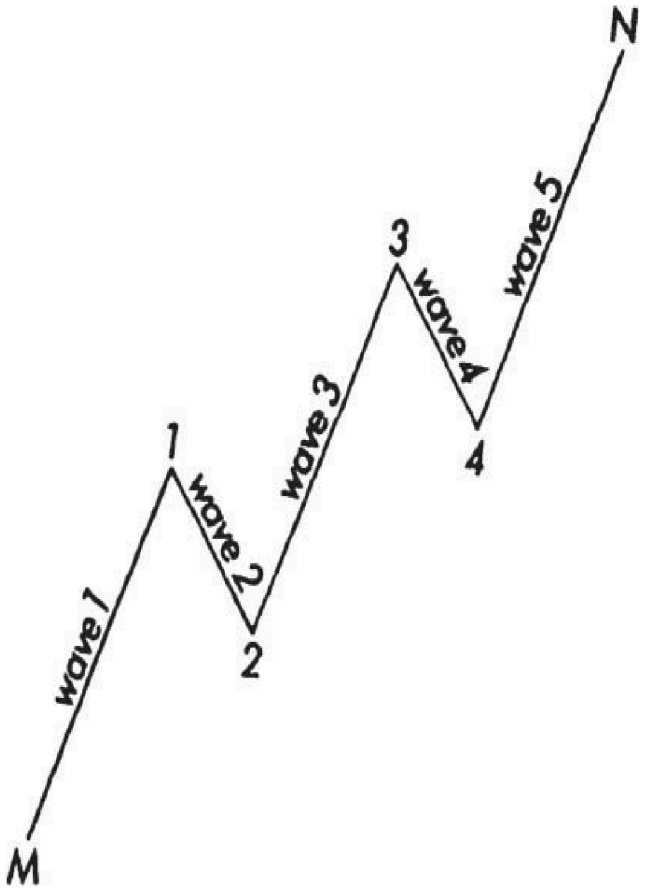


Figure 3

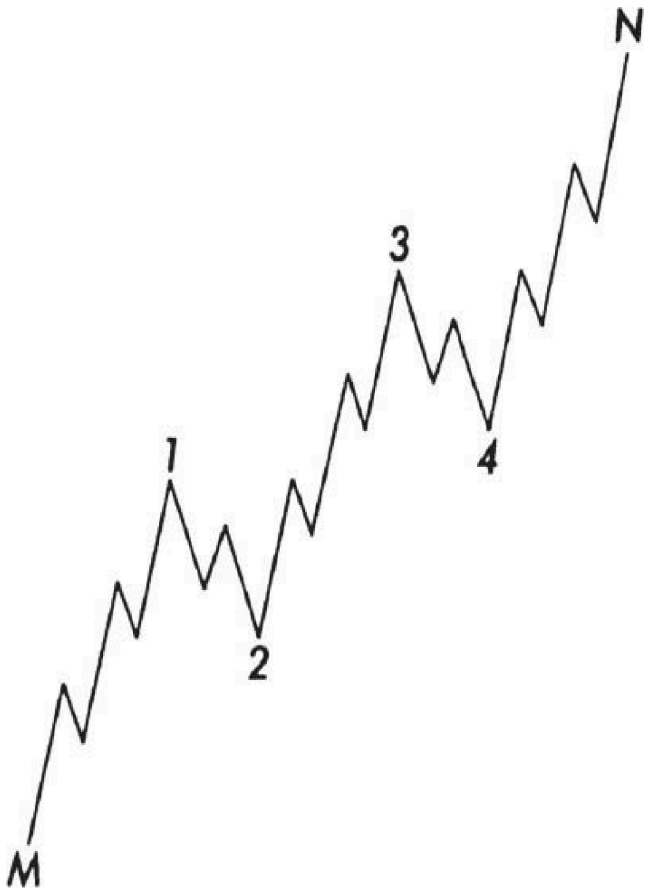


Figure 4

Were this movement also broken into waves of one lower degree, it would appear as in Figure 4.

Note, in Figure 4, that the second wave (wave 1 to 2) and the fourth wave (wave 3 to 4) are each made up of three smaller waves, whereas waves one, three, and five each have five smaller waves. The rules to be derived from this illustration - and these rules are fundamental to the whole wave subject - are: 1) Waves in the direction of the main movement, or the odd numbered waves, are made up of five lesser waves.

2) Corrective waves, or waves against the main movement (even numbered waves) are made up of three lesser waves.

To further illustrate the above rules, let us take the movement 1 to 2 in Figure 4. This was wave number two of the five-wave or complete movement from M to N, and was made up, as all corrective movements should be, of three waves. The three waves of the movement 1 to 2, however, formed, when isolated, a distinct corrective movement, and, under the above rules, the odd numbered waves (or waves a and c), since they are in the direction of the entire corrective movement 1 to 2, should each be made up of five lesser waves, whereas the even numbered wave (or wave b), which is against the direction of the movement 1 to 2 and thus is a correction in such movement, should be made up of three waves. If we now present the movement 1 to 2 in terms of its lower waves, it will appear as in Figure 5.

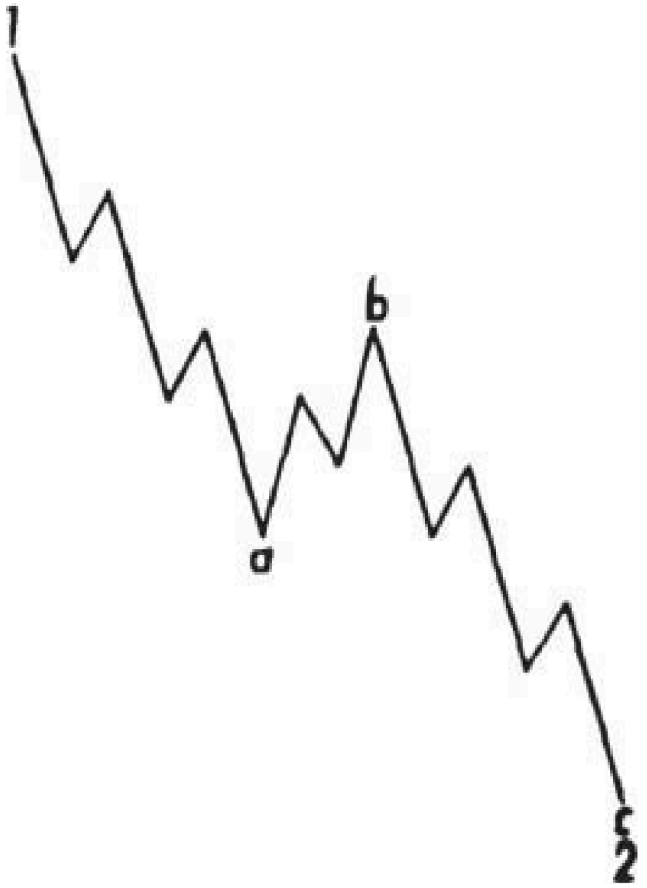


Figure 5

For purposes of convenience, let us designate the odd numbered waves of a movement as cardinal[1] waves and the even numbered waves as corrective waves. Let us also remember that the cardinal waves will contain five waves of a lower degree, whereas the corrective waves will contain three waves of a lower degree. Other rules and points of interest with respect to waves follow.

The wave movement applies to stock averages, such as the Dow-Jones, Standard Statistics, New York Times; to groups of stocks, such as the steels, the coppers, the textiles; and individual stocks.[2] When individual stocks are studied, it will be found that some are advancing while others are declining or undergoing a corrective movement. The great majority of individual issues will, at any given time, be following the same pattern, however, with the result that the averages, or general market, will break down into the wave phenomenon. It follows that the greater the number of stocks in a market average, the more perfect will be the wave pattern.[3] Waves are not of uniform length or duration. An entire movement, consisting of five waves, is always due to some one or more controlling influences, but the three upward waves (waves one, three, and five) which, with their two corrective waves (waves two and four), go to make up the entire movement, may accommodate themselves somewhat to current developments. The fundamental cause behind such movement is generally not recognized until after the effect has played out in the form of the complete movement, whereas, during the course of the movement, current news is available to every one and thus modifies, both as to extent and duration, each of the five waves going to make up the completed move.

As a general rule, it may be assumed that wave three will reach a higher level than wave one, and that wave five will go higher than wave three. Likewise, wave four should not carry to as low a level as is attained by wave two. Wave two rarely cancels all of the ground gained by wave one, and wave four rarely cancels all of the ground gained by wave three. The completed five-wave movement, in other words, is normally diagonal in character, as illustrated in

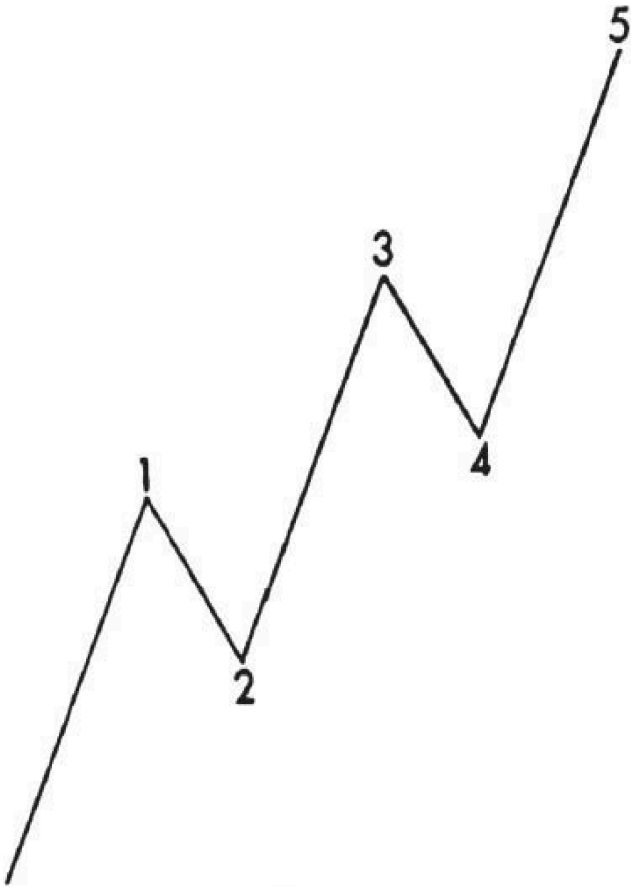


Figure 6

To properly observe a market movement, and hence to segregate the individual waves of such a movement, it is necessary that the movement, as it progresses, be channelled between parallel lines. Most stationers' shops carry in stock parallel rulers and the use of such a device greatly facilitates the channelling.

A channel cannot be started until waves numbers one and two have been completed. In Figure 7, waves one and two have ended, leaving three exposed contacts, or points which stand out alone. The first exposed contact is the starting point of wave number one; the second exposed contact is the termination point of wave number one as well as the starting point of wave number two; the third exposed contact is the termination point of wave number two. These points, for purposes of illustration, have been designated M, N, and O. In preparing the channel, a base line should first be drawn between exposed contacts M and O. Across exposed contact N may then be drawn a line parallel to the base line, designated as the "upper channel line." This upper channel line should be extended some distance to the right of N. When this operation has been completed, the channel will appear as in Figures 8 and 9.



Figure 7

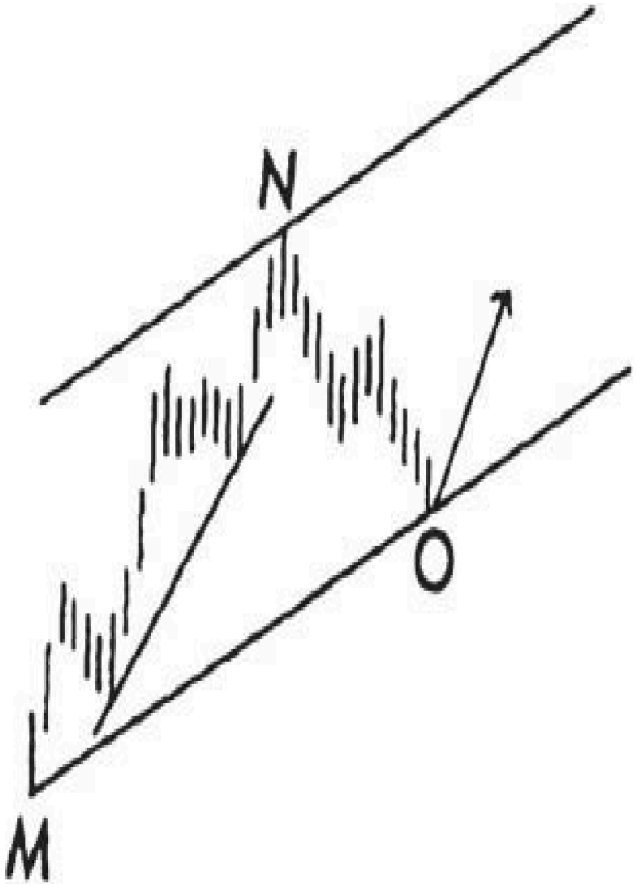


Figure 8

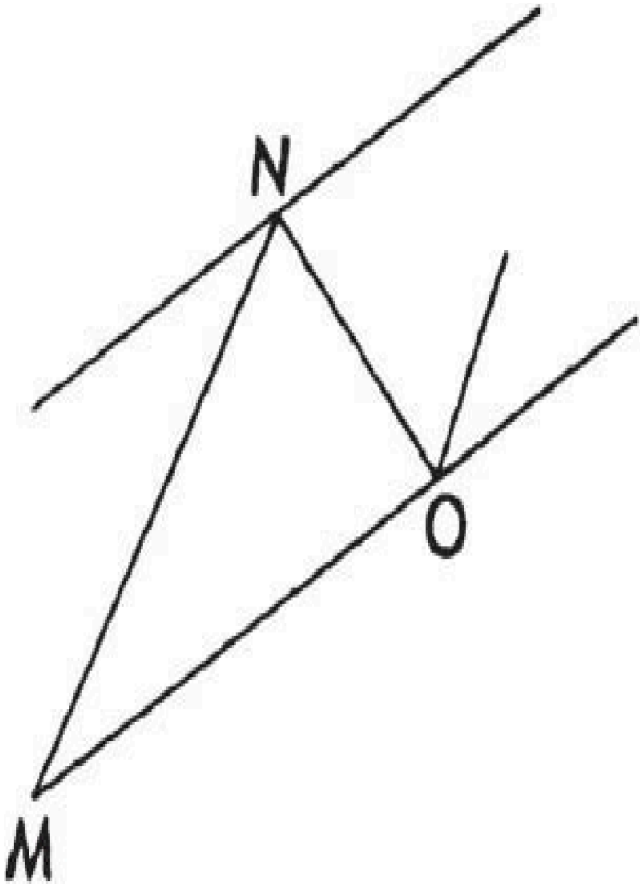


Figure 9

Wave number three should normally terminate at around the upper channel line. If wave number three exceeds the upper channel line, the upmovement has taken on temporary strength, whereas if wave number three terminates below the upper channel line, the upmovement has developed temporary weakness. In any event, when wave three has terminated, the old channel can be abandoned in favor of a new one. The new channel is established by drawing an upper channel line to connect points N and P, or termination points of waves one and three. A line, still designated as the base line, parallel to the new upper channel line is drawn across exposed contact O and extended to the right. It is about this line that wave four should terminate. Figure 10 shows both the old, or discarded, and the new channels. Of course, if the third wave terminates at exactly the original upper channel line first drawn from point N, the discarded channel and the new channel will be one and the same.

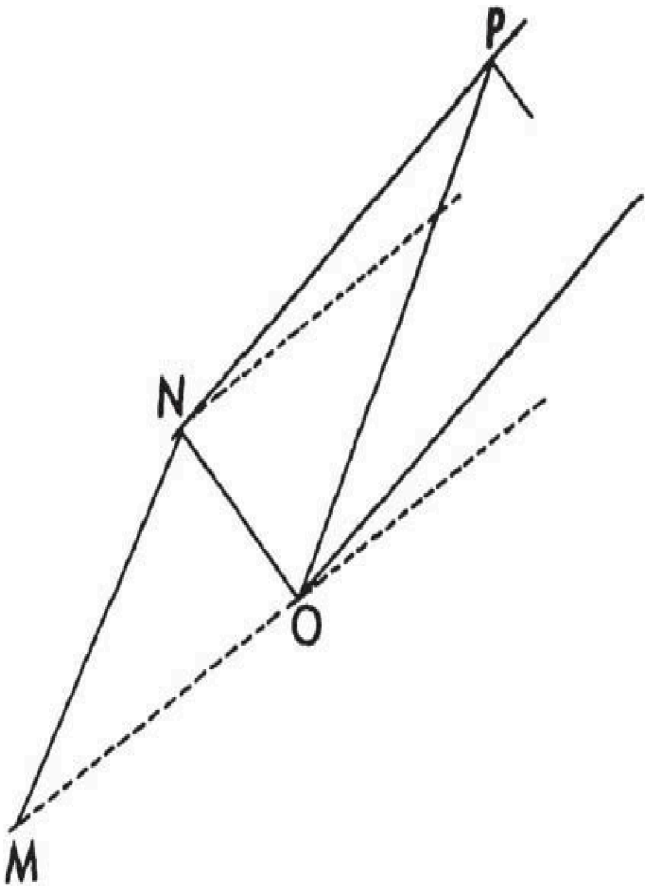


Figure 10

When wave four has terminated, either on, above, or below the new base line, the final channel can be drawn. This channel is quite important since it helps to locate the end of the fifth, or last, wave. It is on the termination of a long movement that investors and speculators must chiefly concentrate if their operations are to prove successful. The final channel is located by drawing a connecting line between the extreme terminal or exposed contact of wave number two (O) and the terminal or exposed contact of wave number four (Q). Parallel to this base line, and touching the terminal of wave number three (P) is drawn another or upper channel line. This is shown in Figure 11, the discarded first and second channels of the diagram above having been erased for clarity of illustrations. Wave five should normally terminate at around the upper channel line, although this subject, because of its importance, will be treated in detail in the succeeding discussion outlining wave characteristics.

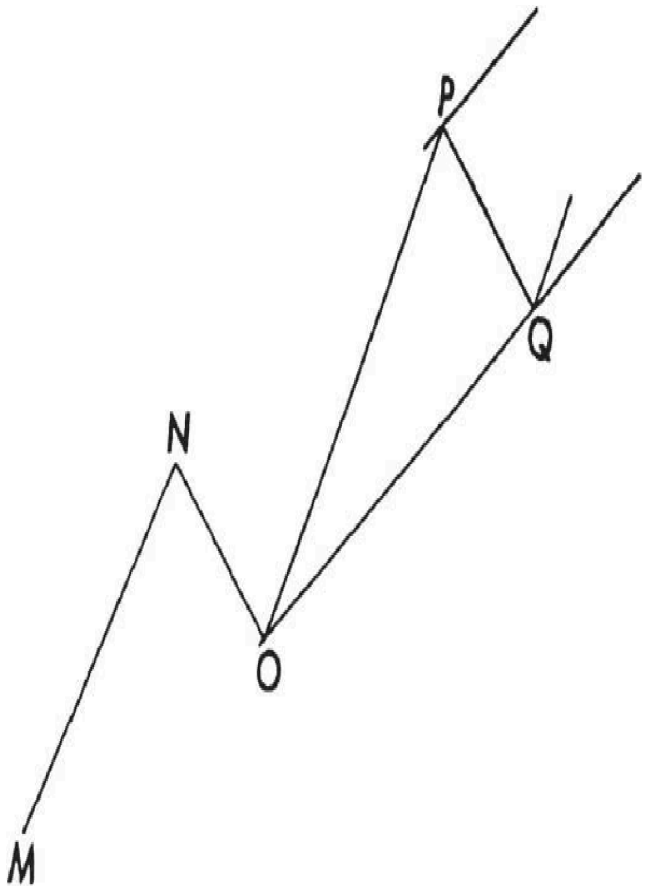


Figure 11

When the fifth wave has terminated, there will be a downward movement or correction of greater proportions than those previously recorded during the progress of the channel discussed above. This wave becomes number two of the next higher degree of movement, just as the first five waves previously channeled are now renumbered as wave number one of the next higher order. Channelling on a higher scale can be started at the termination of wave number two under the same principles as laid down in Figure 11.

[1] "Cardinal" is the original term. In the Financial World articles, he uses the term "progressive" waves, and later in Nature's Law, "impulse" waves. Elliott Wave Principle gives these terms different, specific meanings.

[2] Use of the Wave Principle with individual stocks is less reliable than with averages since the phenomenon reflects mass psychology or, as Elliott put it, "extensive public participation in price movements."

[3] Strictly speaking, this statement is not true. An average made up of IBM and General Motors alone might better reflect the Wave Principle than an average of ten thinly traded two-dollar stocks. Moreover, I am convinced that the public visibility of a market index may enhance its utility with regard to the Wave Principle. Thus the Dow, which is made up of only thirty stocks, may be a more sensitive recorder of the Wave Principle than say, the Value Line Composite index since investors have a psychological interaction with the Dow Industrial Average that they do not experience with other indexes.

He means necessarily of uniform length or duration. They certainly can be, and at times are.

This assertion cannot be true, since any "entire movement" is merely one of the waves of a movement of larger degree. What Elliott means is simply that news appears to affect the shape of waves of Sub-Minor degree.

Later Elliott contended that wave 4 should not drop below the peak of wave 1, a rule that experience verifies.

If the Wave Principle is to have any consistency or value, the word "rarely" should read "never."

IV

In classifying the wave movement as applied to the stock market (or as discerned in any other field of human activity, for that matter), it is necessary to devise some nomenclature by which the waves of any one degree will be distinguished from the waves of a greater or lower degree. For all practical purposes the following degrees of movement will cover such studies of the stock market as are herein presented, or as the student of market trends will need in his own research work in the phenomenon. The following order is from the lower to higher degrees, five waves of one degree going to make up the first wave of the next higher degree. Five Sub-Minuette waves, for example, compose wave number one of a Minuette movement, five Minuette waves equal wave number one of a Minute movement, and so on. The order follows: Super Cycle Grand Super Cycle To avoid confusion in the lettering of waves on charts presented herein, so that the movements of any one degree can be readily differentiated, at a glance, from the movements of another degree, the following number designations have been devised for the nine movements classified above.[1] The reader need not pay too much attention, at the moment, to the above nomenclature and its numerical designation, but will find it of increasing usefulness as his studies into stock price movements progress.

A Grand Super Cycle in stock prices got under way in the United States in 1857. The first wave of this degree of movement ran from 1857 to 1928. The second wave - representing a correction of the first wave - ran from November 1928 to 1932. The third wave in the Grand Super Cycle started in 1932 and has many years to run.

The Grand Super Cycle wave from 1857 to 1928 is referred to as "No. 1", but it may have been No. 3 or No. 5.[2] A severe depression occurred from 1854 to 1857 similar in duration to that of 1929-1932.

Wave number one[3] of the Grand Super Cycle, the upward wave that ran from 1857 to 1928, was made up of five waves which, together, may be designated as one complete Super Cycle. This Super Cycle may be subdivided as follows (see Figure 12):

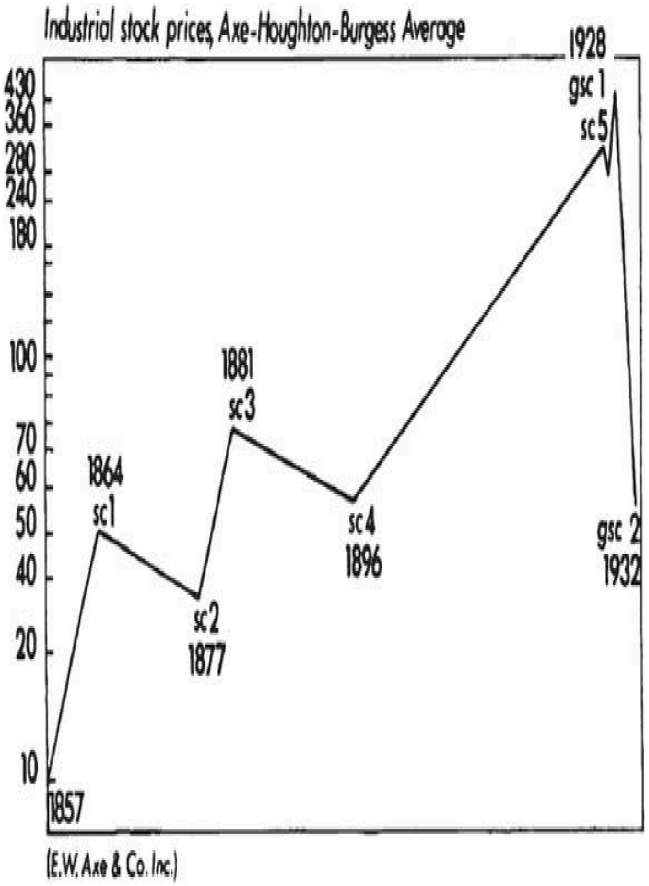


Figure 12

1857-1864 - Super Cycle wave number one 1864-1877 - Super Cycle correction (wave two) 1877-1881 - Super Cycle wave number three 1881-1896 - Super Cycle correction (wave four) 1896-1928 - Super Cycle wave number five.

The only record of stock prices available as far back as the beginning of the present Grand Super Cycle is the Axe-Houghton Index of representative issues (published in the New York Times Annalist) which records movements from 1854 to date.

Let us, in further illustration, now take Super Cycle wave number five and break it down into its next smaller degree. This wave, running from 1896 to 1928, under the previously stated nomenclature, would be designated as a Cycle, and this Cycle would be made up of five waves. These waves were as follows (see Figure 13):

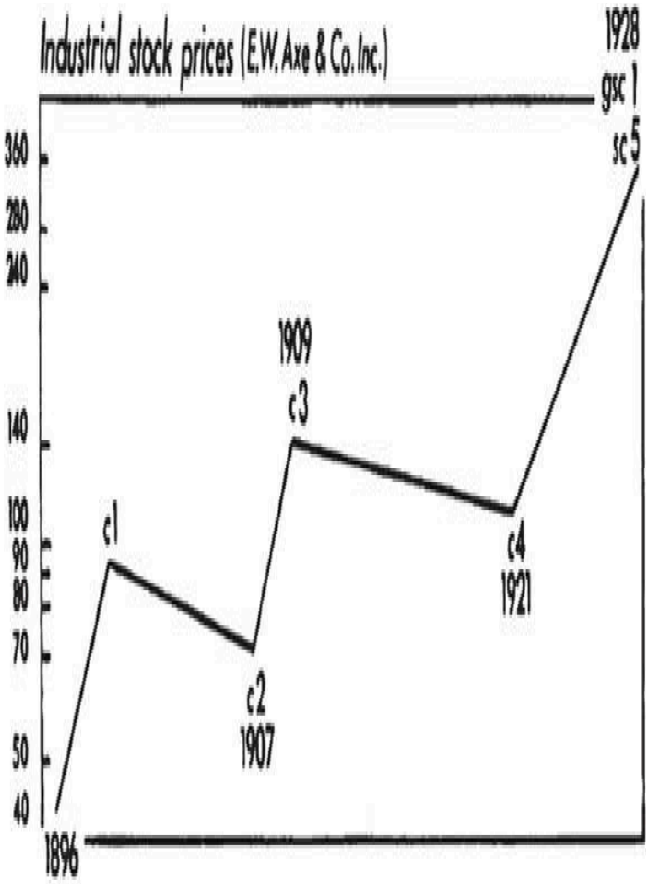


Figure 13

1896-1899 - Cycle wave number one 1899-1907 - Cycle correction (wave two) 1907-1909 - Cycle wave number three 1909-1921 - Cycle correction (wave four) 1921-1928 - Cycle wave number five.

If Cycle wave number five - the wave running from 1921 to 1928 - is now reduced to its lesser degree, it will be found to have been composed of five Primary waves, as follows (see Figure 14):

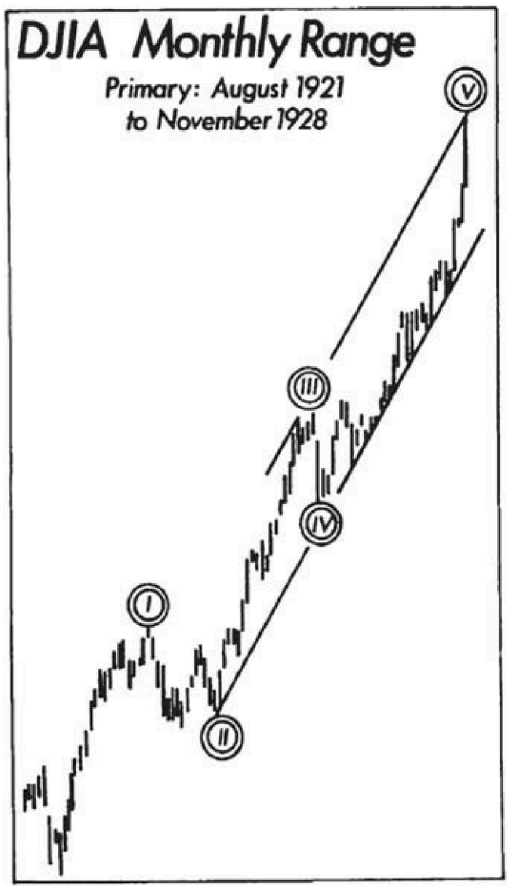


Figure 14

June 1921 to March 1923 - Primary wave number one March 1923 to May 1924 - Primary correction (wave two) May 1924 to November 1925 - Primary wave number three November 1925 to March 1926 - Primary correction (wave four) March 1926 to November 1928 - Primary wave number five.

In like manner, the Primary waves of the Cyclical wave running from June 1921 to November 1928 can each be broken down into Intermediate waves; the Intermediate waves can each be broken down into Minor waves; and so on through lesser and lesser degree until the most minute movement of record is properly analyzed and classified.

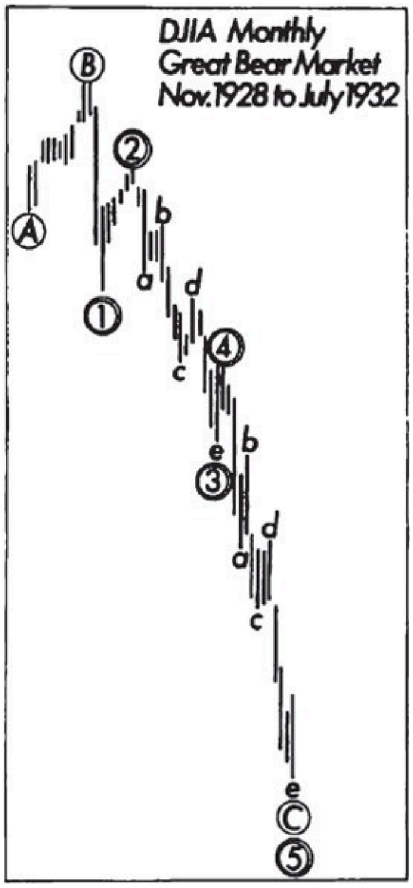


Figure 15

November 28, 1928, with the Dow-Jones Average of thirty industrial stocks standing at 295.62, came at the end of the fifth Minuette wave of the fifth Primary wave of the fifth Cycle wave of the fifth Super Cycle wave of the first Grand Super Cycle wave. Stated otherwise, one who was tracing the stock market's pattern in terms of its decade by decade, year by year, month by month, week by week, day by day, and hour by hour fluctuations, was not confused as to its trend during any part of the past decade but was able, even, to fix not only the year and month when the great bull market terminated, but could even determine the day and hour of the end - and even the minute. From the Super Cycle down through every lesser degree to the most infinitesimal movement recorded, the market, before reaching its final peak, had to complete a fifth wave of each lesser degree. The first reversal downward in December 1928 was signalled by the extended minor fifth wave up to November 1928.

It will have been noted that the top of the fifth wave of the Super Cycle is shown as having ended November 1928 (the orthodox top) and not September 1929, the extreme high. Between these points are registered (see Figure 15).

- wave A from November to December 1928 (down) and - wave B from December 1928 to September 1929 (up in three minor waves), in an irregular reversal.

Wave C runs from September 1929 to July 1932. Wave C was subdivided into five waves down, and the irregular top signalled a fast, straight down movement.

The same irregular pattern occurred at the top of August 1937. This irregular pattern is described in detail under the caption "Corrections."

[1] Frost and I have standardized a labeling system in which letters are reserved only for corrective waves while numbers are used for motive waves.

[2] Elliott's use of 1857 as a Supercycle wave low is absolutely correct, but at this time he lacked the data to be sure which number it was. He came firmly to the correct conclusion that 1857 was the low of a second wave of Supercycle degree in the Interpretive Letter dated August 25, 1941 (see Figure 98 in Nature's Law).

[3] Three, actually.

Frost and I prefer the count as presented in Elliott Wave Principle, although we use a different data series to arrive at our conclusions.

I prefer the interpretation that 1929 marked the orthodox top, a labeling that Elliott in fact uses once, in "The Future Pattern of the Market" from 1942, which is reprinted in the Selected Essays section of this book.

Questionable. See Endnote 3 in Chapter XX of Nature's Law.

V

WAVE CHARACTERISTICS

In the preceding discussions an attempt has been made to state, as simply as possible, the five-wave phenomenon. In the present discussion attention will be devoted more to detail, in order that the student of the wave movement can fully master the subject, and thus be prepared to develop his own studies of price and other movements of human origin and influence.

Investors and speculators in stocks are particularly concerned with the termination point of a fifth wave, as this event marks the point at which an entire movement is to be corrected by a reverse movement of similar degree. Stock market movements of important dimensions, such as Intermediate swings running over a number of months, and Primary swings running over a number of years, will witness, at termination, a considerable price correction, and such terminal points call for disposition of stock holdings. It is likewise important that terminal corrections be identified, as these points represent price areas where long positions in stocks are to be established. In the following paragraphs the fifth wave, as well as the corrective wave, are dwelt upon rather fully. Other factors bearing on terminal points are also discussed.

The Fifth Wave In fixing the end of a movement in stock prices, it should be borne in mind that before the movement has terminated there must be five waves of the next lesser degree of movement, that the fifth wave of such next lesser degree will also require five waves of a still next lesser degree, and so on. For illustration, an Intermediate movement will end on the fifth Sub-Minuette wave of the fifth Minuette wave of the fifth Minute wave of the fifth Minor wave of such Intermediate movement. In Figure 16, the fifth Minor wave has been broken down into its five Minuette waves, and the fifth Minuette wave has been broken down into its five Sub-Minuette waves to illustrate the foregoing principle.[1]

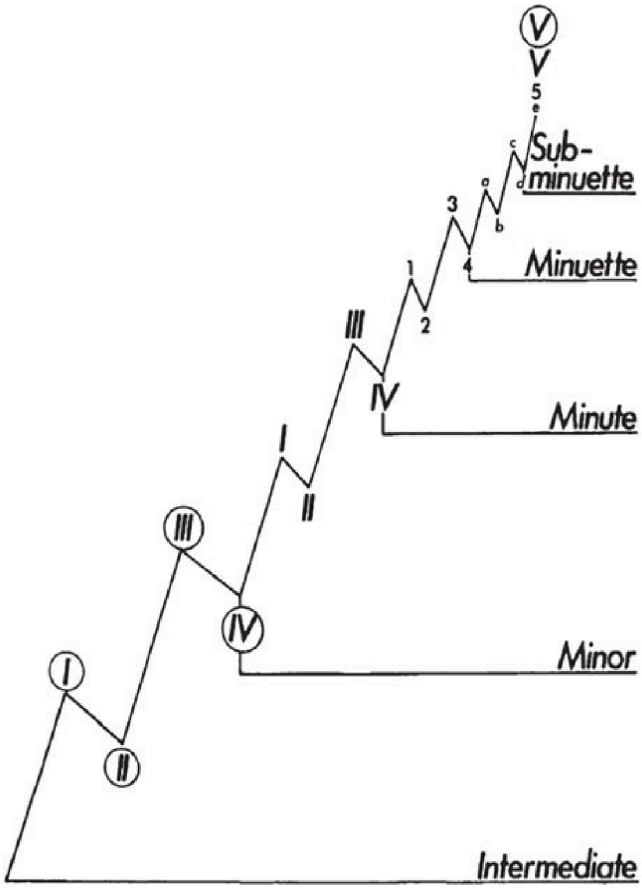


Figure 16

The fifth wave of a movement, particularly the larger such as the Intermediate and above, generally penetrates or "throws over" the upper parallel line formed by channelling the termination points of the second, third and fourth waves as described in the preceding discussion, and as illustrated in Figure 17.

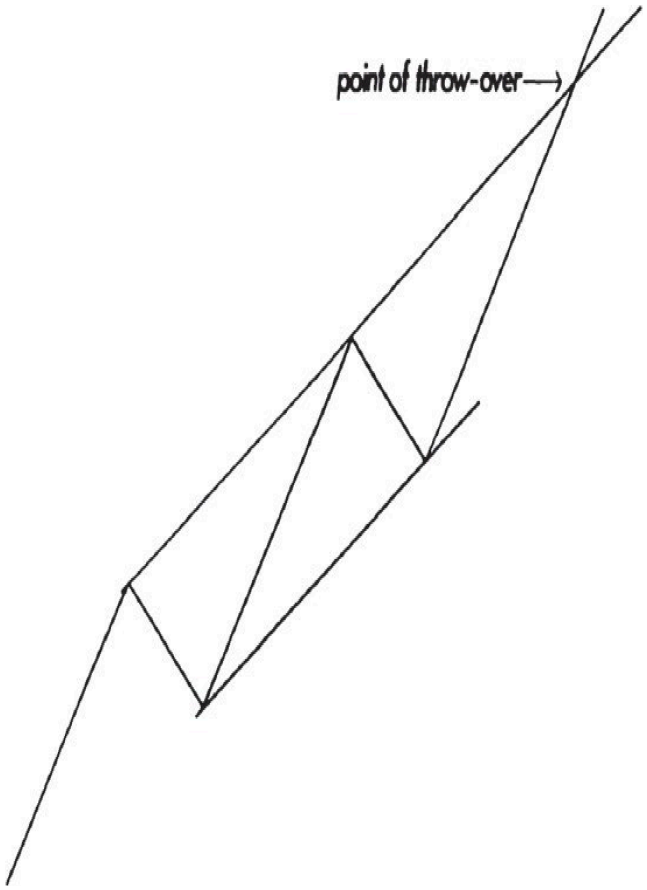


Figure 17

Volume tends to climb on a throw-over, and when this throw-over is by the fifth Intermediate wave of a Primary movement, volume should be very heavy. When the fifth wave of any degree fails to penetrate or throw-over its upper channel line and decline occurs, this is a warning of weakness. The extent of the weakness indicated is according to the degree of the wave.

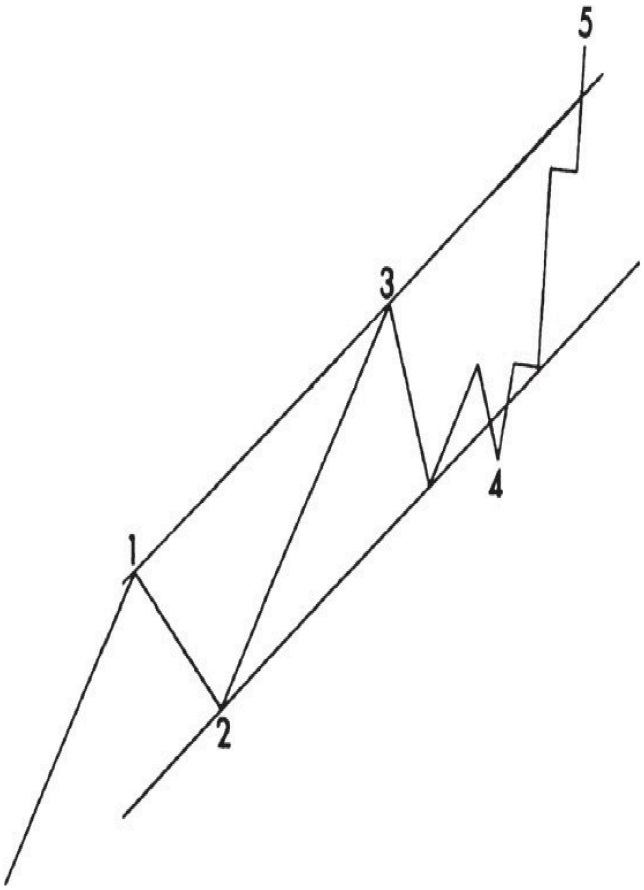


Figure 18

Sometimes, near a point of throw-over, a fifth wave will fail to immediately complete, and the fourth wave flattens out before number five starts (see Figure 18).

In locating "throw-overs," a logarithmic scale is highly recommended for those charts on which the market, or individual stocks, may be followed by means of the weekly price range, whereas an arithmetic scale should be used for daily range and hourly charts. At the tops of primary and higher degree movements the arithmetic scale is much more likely to produce throw-overs, whereas at the bottom of such movements the reverse is true; that is, the logarithmic scale is more apt to develop throw-overs. In both cases the arithmetic scale would be deceptive, in waves of say 30 points or more. To clearly illustrate one of the foregoing statements, a monthly range chart of the 1929-1932 movement of the Dow-Jones Industrial Average on both the logarithmic and the arithmetic scales is shown in Figure 19.

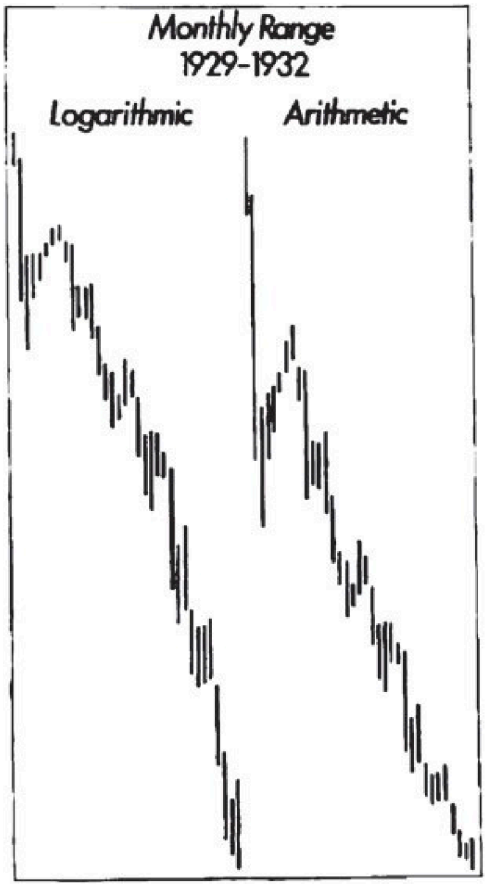


Figure 19

Fifth waves will sometimes deploy or spread out. This has been designated as one type of "stretching." In such an event the fifth wave, rather than the terminating movement of which it was a part, is followed by four other waves of lower degree. That is, the fifth wave has simply subdivided into five waves. Stretching is a characteristic of markets that are unusually strong (or weak, where the stretching occurs in a down movement). Examples of upside stretching were witnessed in the 1921-1928 upswing, the culmination of a seventy-two year advance.

While the wave principle is very simple and exceedingly useful in forecasting, nevertheless there are refinements within the principle that may baffle the student, especially when wave movements are in process of formation. The best way to explain what is meant by refinements is to chart them as shown below. The examples are theoretically perfect specimens; the student will find the actual development of these patterns not so simple, in all cases.[2] Corrections always have three waves[3] which fall into four general types, but while in formation it is sometimes difficult to forecast the exact pattern and extent. Once completed the pattern indicates the strength of the ensuing move. The types shown in Figures 20 through 23 are those of very small corrections. The general outlines of patterns are the same in all degrees.

Zig-zag

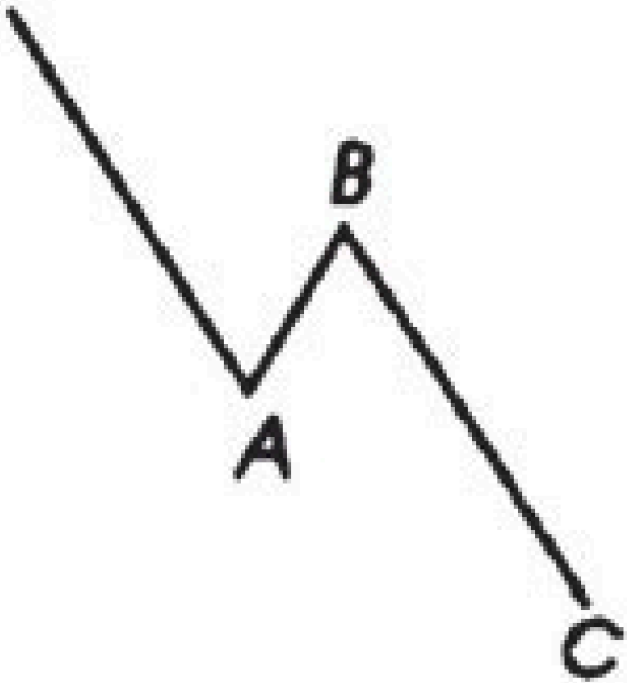


Figure 20

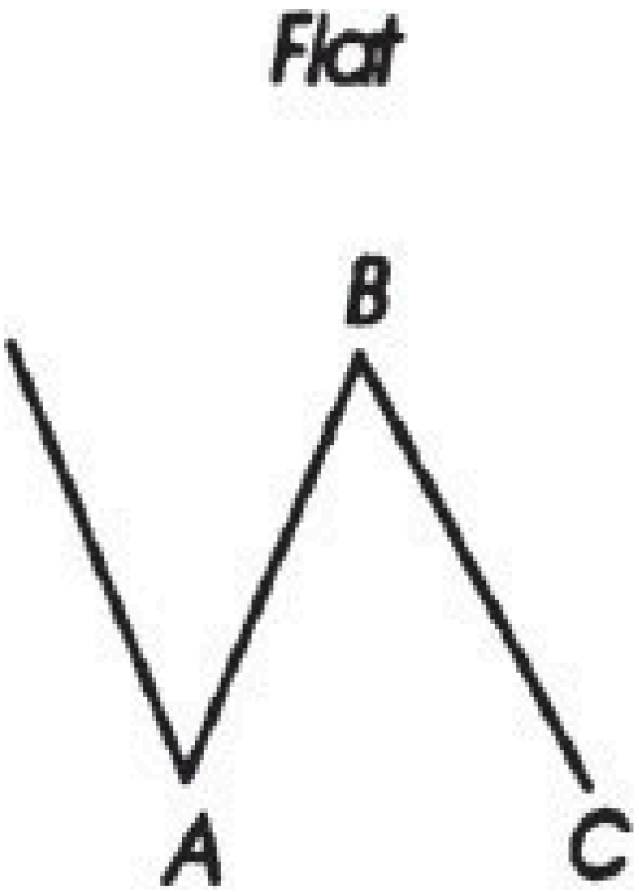


Figure 21

Figure 22 Figure 23 The same types as above, but for larger degrees, are shown in Figures 24 through 26.

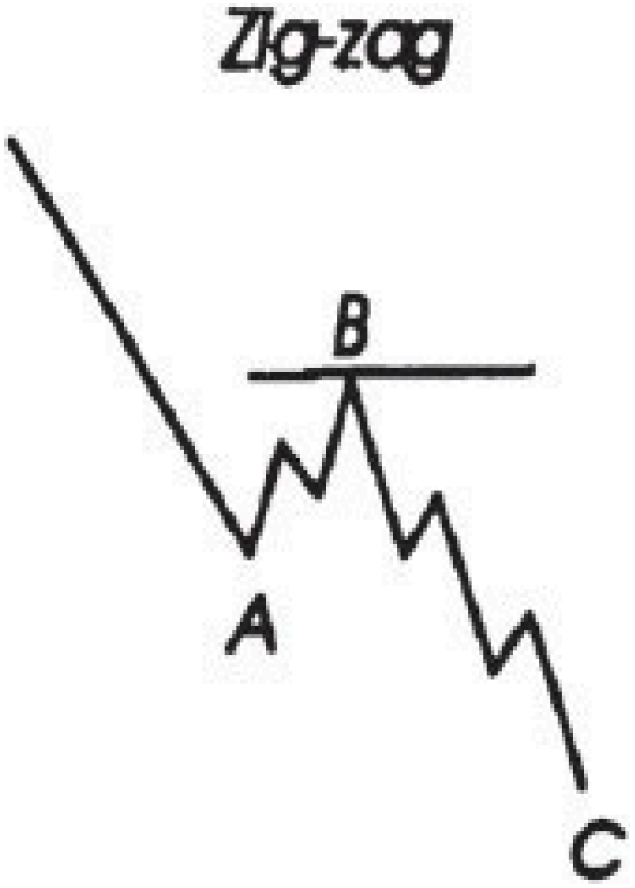


Figure 24

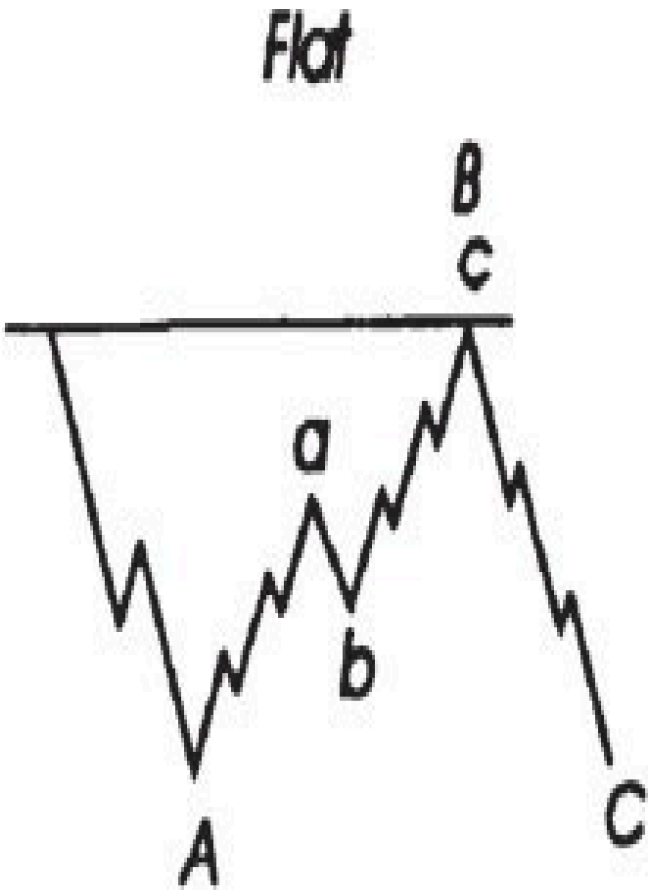


Figure 25

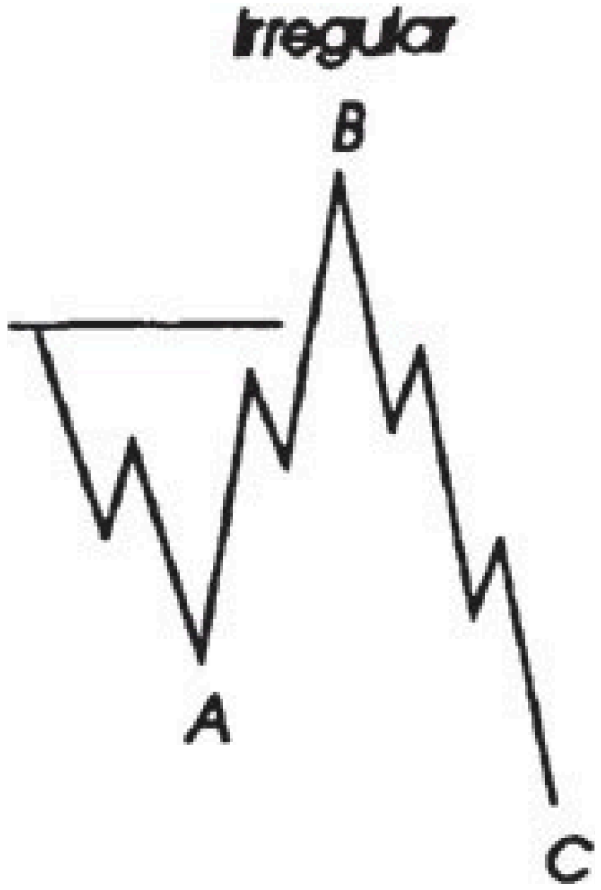


Figure 26

Still larger types of corrections, although of the same general patterns, are those seen in Intermediate and Primary degrees (see Figures 27 through 29).

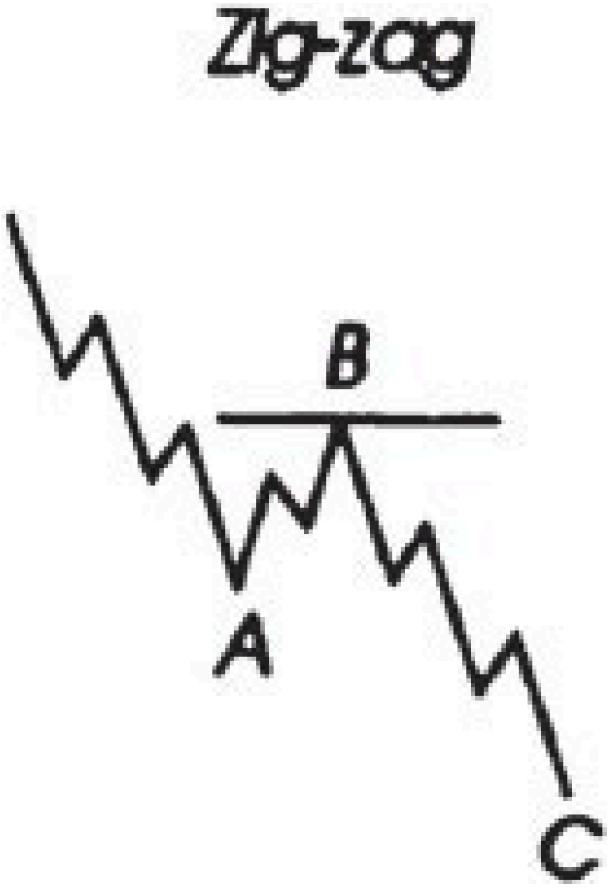


Figure 27

Flat

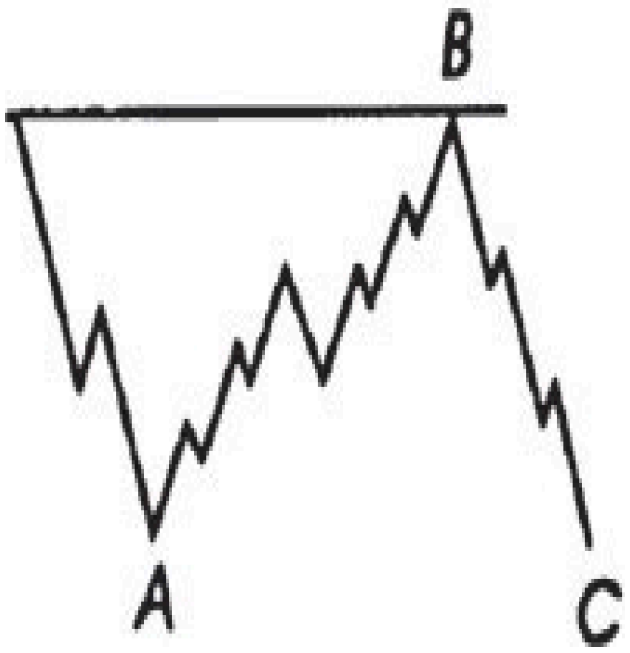


Figure 28



Figure 29

Extensions may appear in any one of the three impulses, waves 1, 3 or 5, but rarely in more than one. Usually they occur in wave 5. Examples are shown in Figure 30.

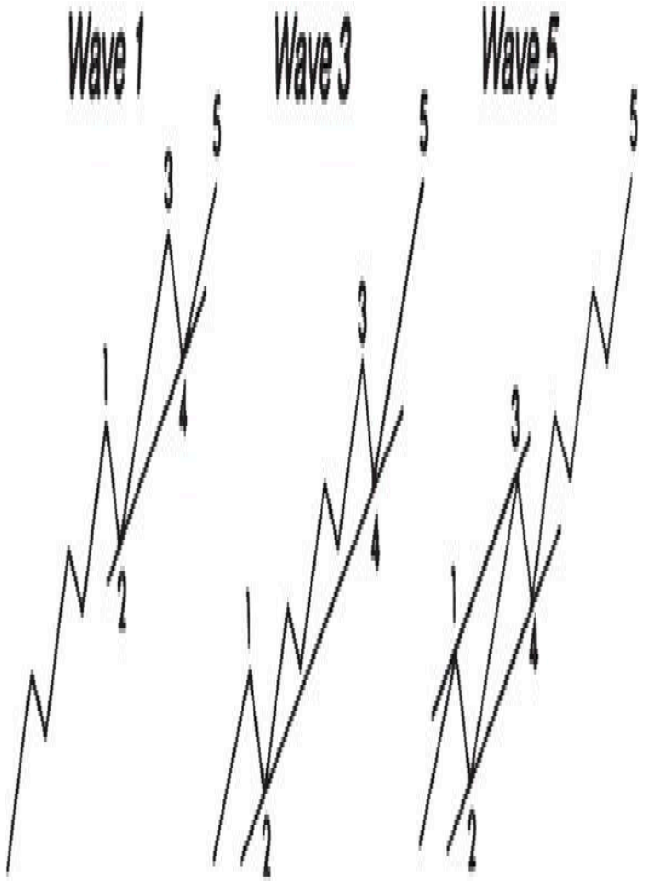


Figure 30

Extensions of Extensions The same rules govern both extensions and extensions of extensions. In Figure 31 will be found three types of extensions of extensions and the standard type.

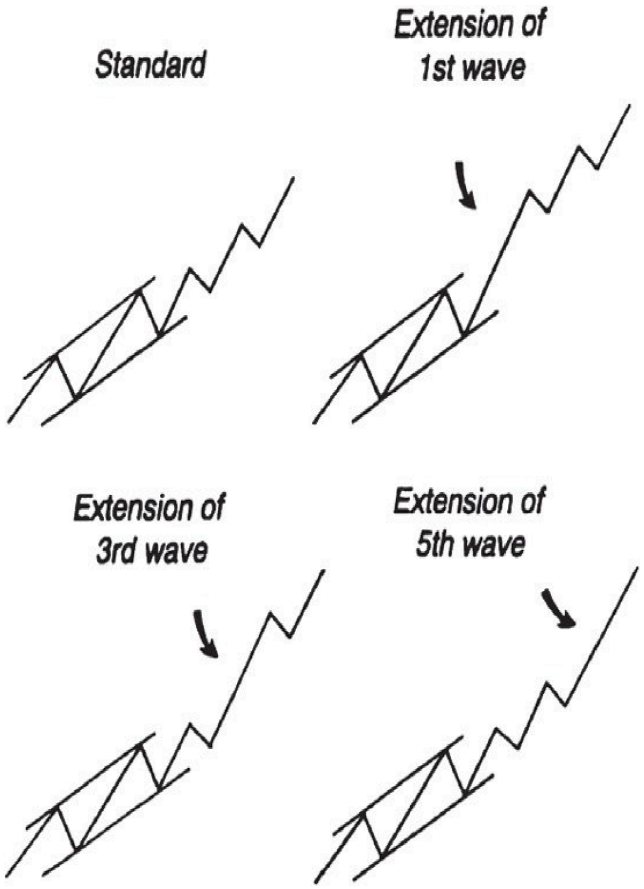


Figure 31

Behavior of Market Following Extensions A thorough understanding of extensions is very important. Warnings of this phenomenon have been sought without success, and for certain reasons it is probable none exist. However, losses can be avoided and profits obtained by learning the behavior of the market subsequent to their occurrence. The rules are: 1) Extensions occur in new territory of the current cycle.

2) Extensions are retraced twice.

3) The first retracement will occur immediately in three waves to approximately the beginning of the extension (wave 2 of the extension).

4) The second retracement will occur in the usual progress of the market and travel beyond the extension.

5) However, when an extension occurs, for example, at the end of a fifth primary (where a major reversal is due) the first and second retracements become waves A and B of an irregular correction. This complies with the double retracement rules. Wave C will be composed of five waves downward, fast and probably to the beginning of the fifth primary of the preceding bull market. The only example of this particular kind is downward from November 1928, upward to September 1929, and downward to 1932. (See Figure 15.) 6) Occasionally extensions occur in bear markets under the same rules, such as, for example, during October 1937.

7) An extension is never the end of a movement.[1] This does not infer that higher or lower levels may not be seen even without an extension.

8) Retracement means that the travel of a described movement between two specified points is covered again. For example, a correction and resumption of the trend is a double retracement.

If a trader is holding "longs" when a downward extension appears, he should not sell then because the market will immediately retrace the extension in three waves, before seeking lower levels.

Important extensions have occurred as follows: Industrials Upward July-November 1925 October-November 1928 July 1933 Mar Rails Upward February 1936 While the first retracement will occur immediately and in three waves, the second might not develop for a considerable time, but it will eventually end in the current cycle. The pattern of an extension[11] and double retracement is illustrated in Figure 32.

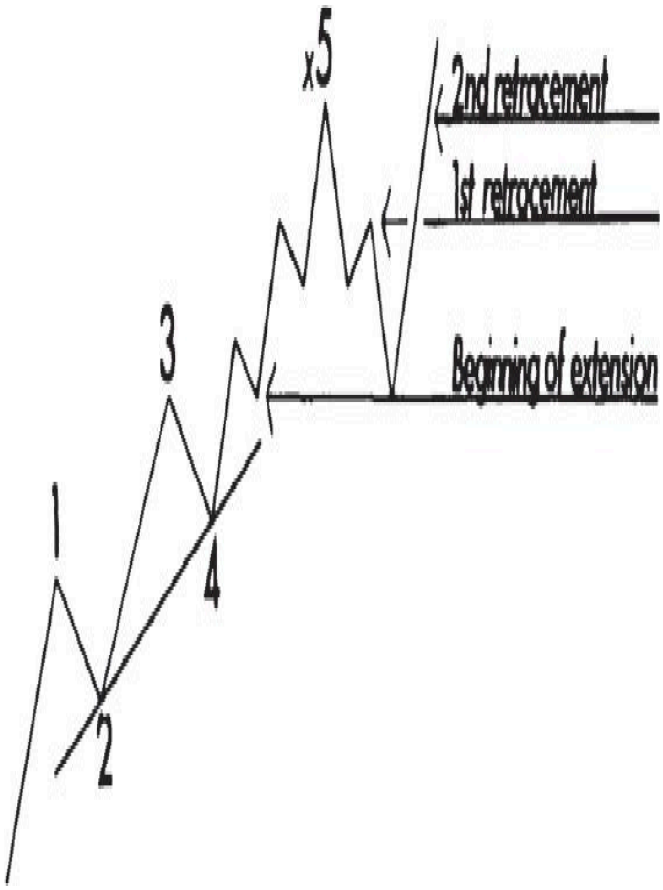


Figure 32

Irregular Corrections Examples of corrections have already been shown but not as a part of the waves of the previous movement being corrected. Such examples are shown in Figures 33 and 34. The letters "A," "B" and "C" indicate waves one, two and three of the corrective movement, irregular pattern. Note that the second wave "B" exceeds the orthodox top (5) of the previous movement.

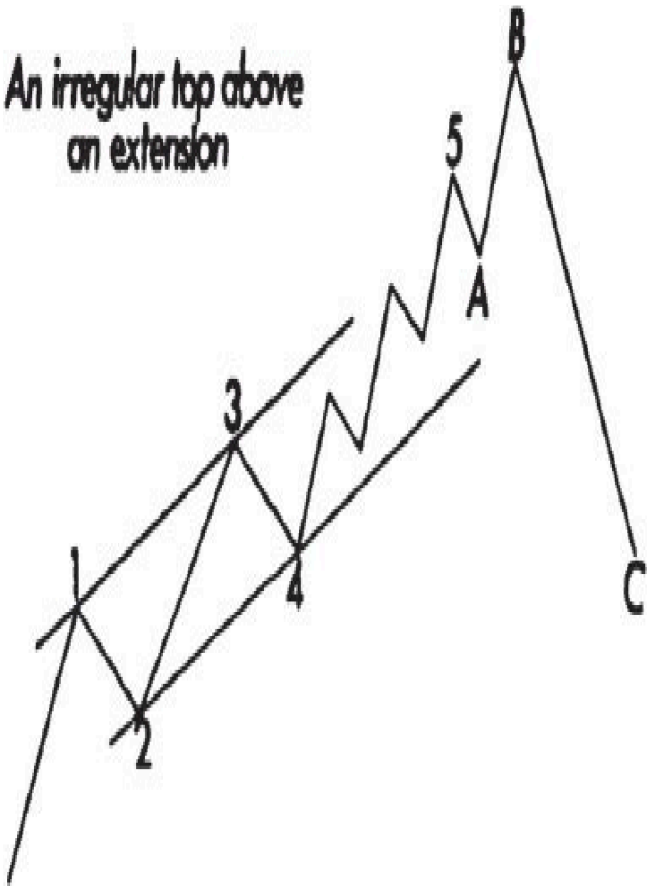


Figure 33

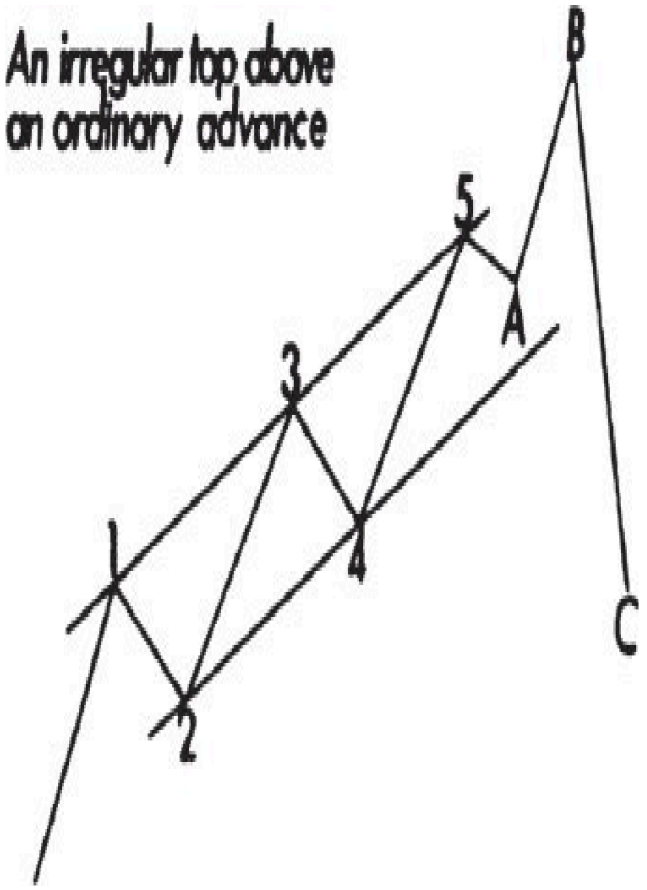


Figure 34

Strong Corrections Corrections can prove useful as warnings of strong movements. Figure 35 is a regular zig-zag pattern, which indicates ordinary strength of subsequent movement. Figure 36 is a flat, indicating strong subsequent movement (see wave 4 Primary, Julyl933 to July 1934).

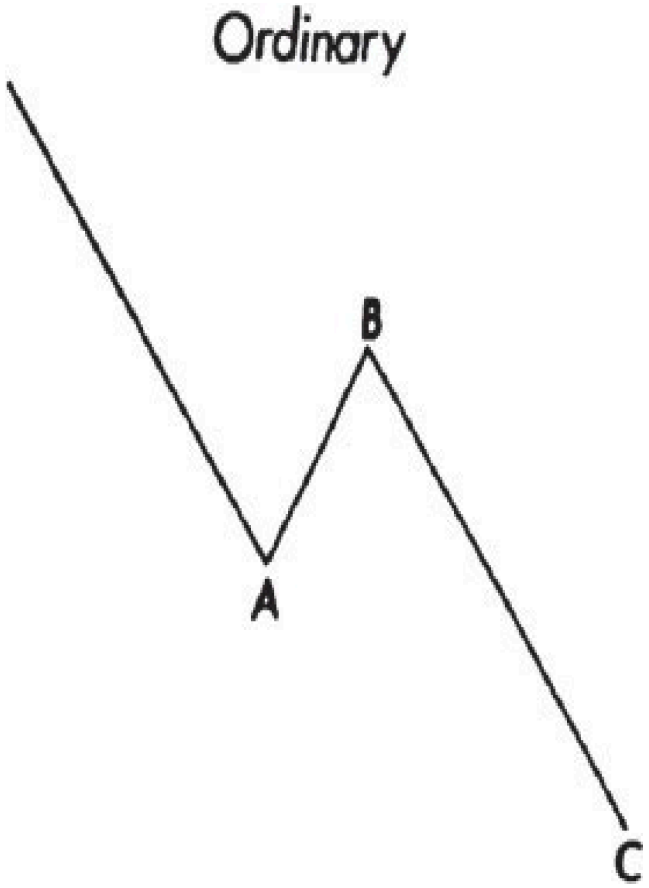


Figure 35

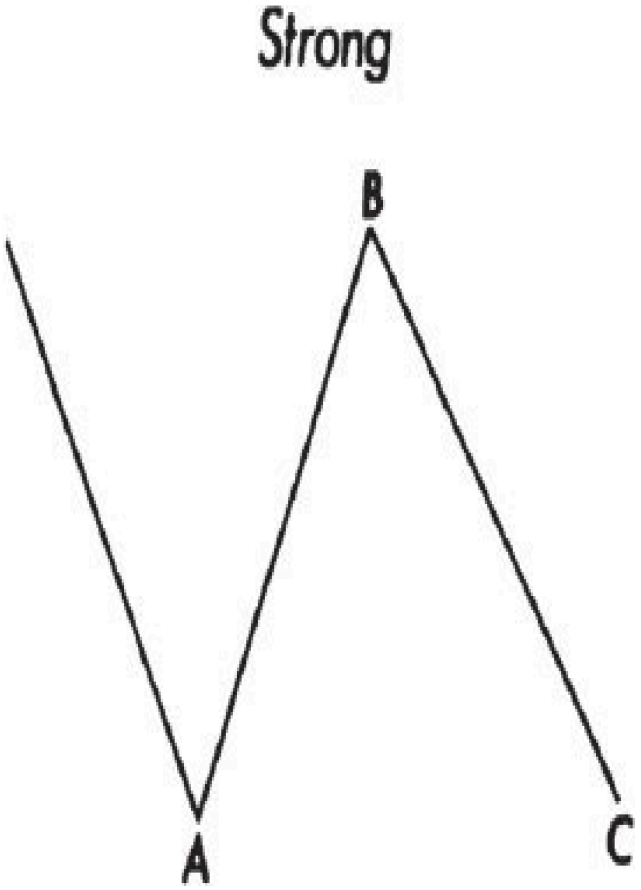


Figure 36

Figure 37 shows a pattern where the end of the correction at "2" is higher than the end of wave "A" of the correction, indicating unusual strength of the subsequent movement. (The second correction shown in Figure 37 is weaker.)

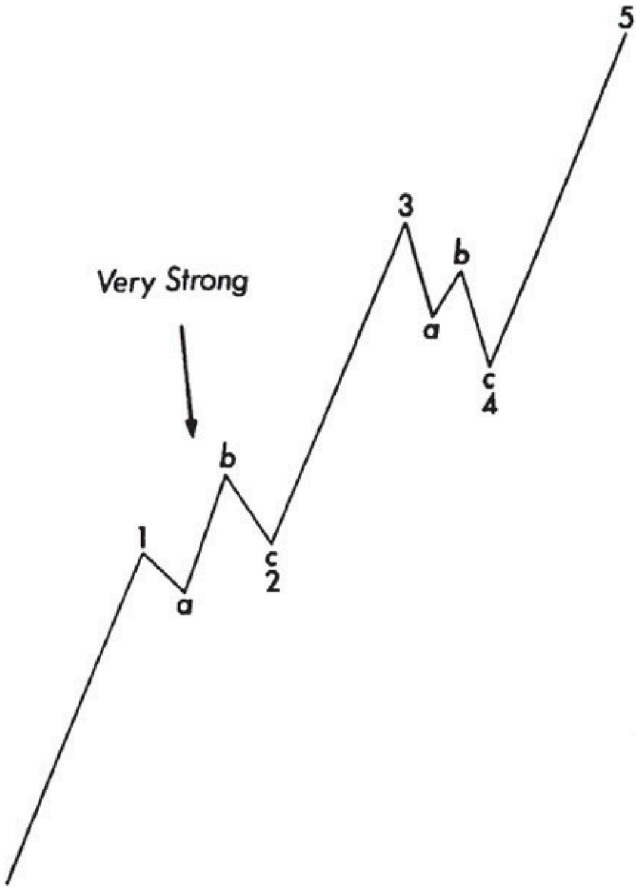


Figure 37

Corrections of bear trends, that is, corrections following downward movements, have the same characteristics as those of advancing movements, but in reverse (see Figures 38 through 40).

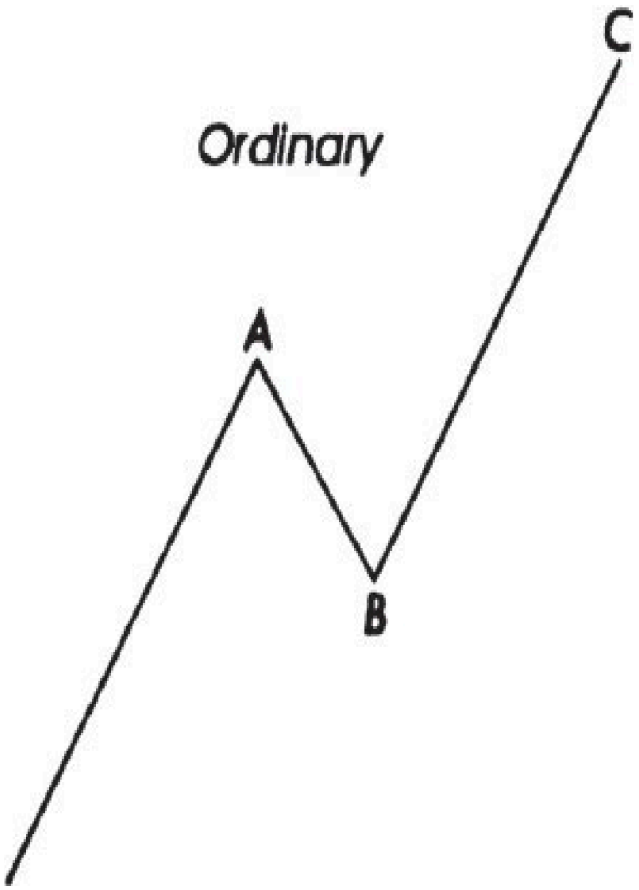


Figure 38

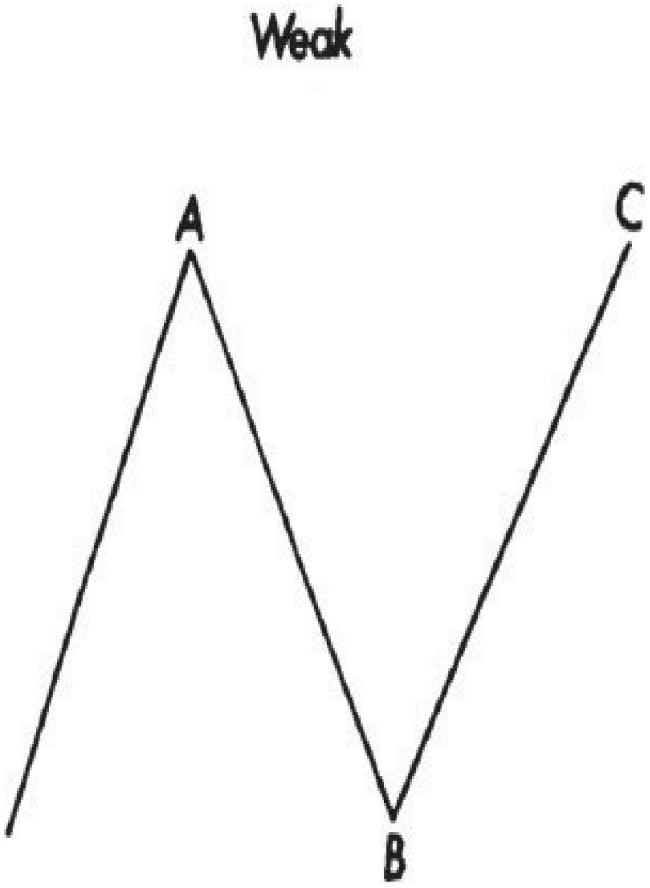


Figure 39

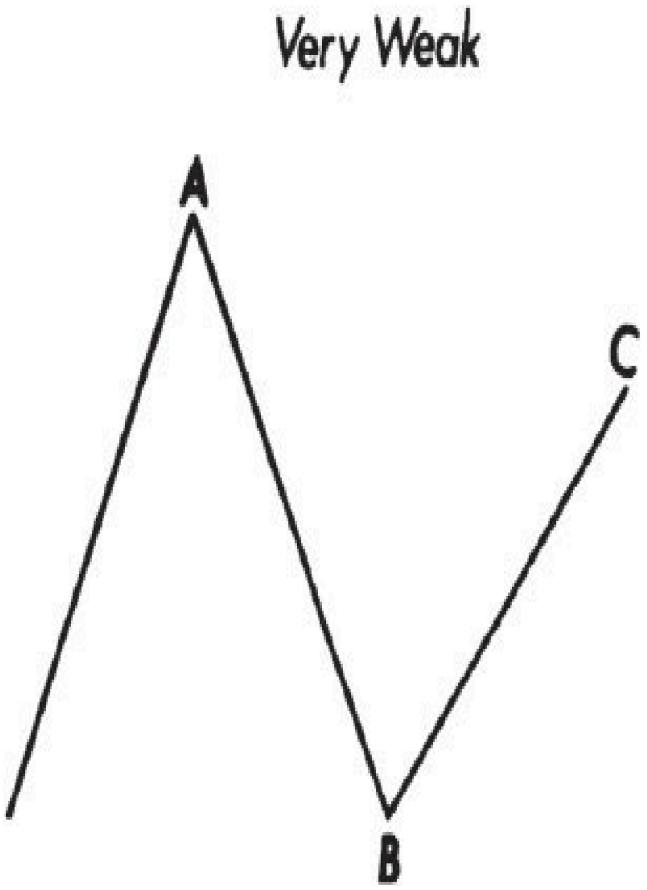


Figure 40

Irregular corrections in bear trends are also seen, but very rarely. Note that after a five-wave down trend, an irregular correction would appear as in Figure 41.

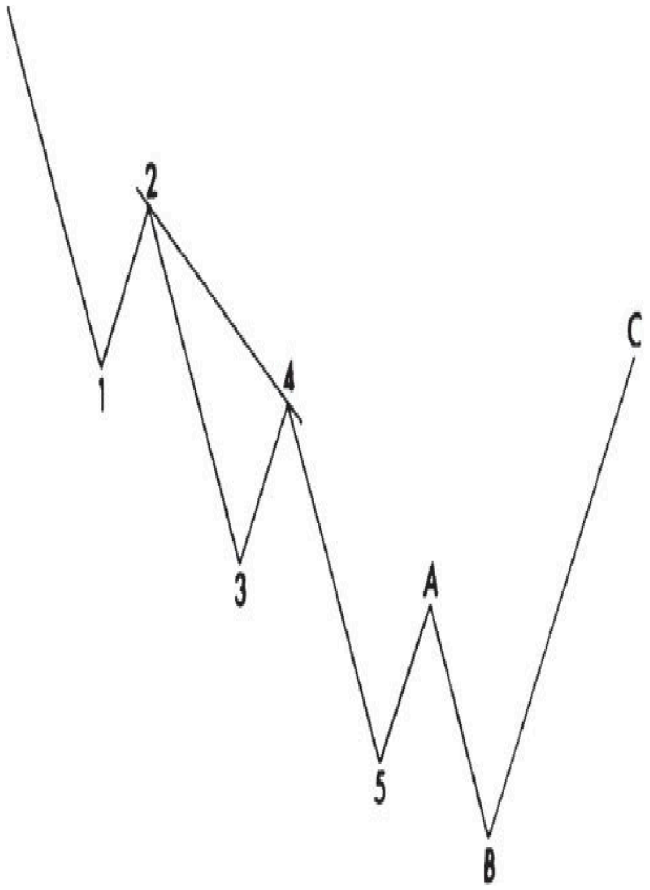


Figure 41

In the pattern shown in Figure 42, the fifth wave failed to materialize, and stock should be sold at "B." Note that there are five waves down from the top at "3," whereas a correction should be composed of three waves. The answer is that "B" is the real top from which only three waves downward were registered. That is, the decline stole two waves from the advance. Put in another way, the regular number upward is five plus the regular number down is three, total eight. In this case there were three upward and five downward, same total eight. Such patterns are rare but are a serious warning and should be acted upon immediately.

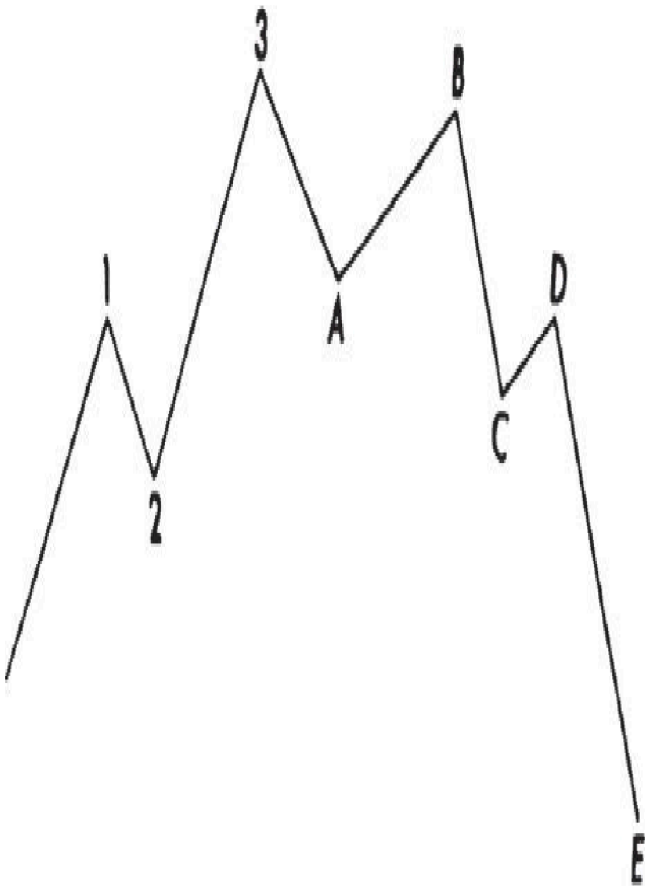


Figure 42

When the Student Is In Doubt In the position shown in Figure 43, the trader may not know which of the following patterns will develop, i.e., an extension or an irregular correction. Volume may furnish the answer. Elsewhere it is stated that volume diminishes during the various waves of correction (zig-zags, flats, triangles), therefore if volume is extremely light in the last wave shown, then it is wave B of an irregular correction. If relatively heavy, an extension is generating.[12]

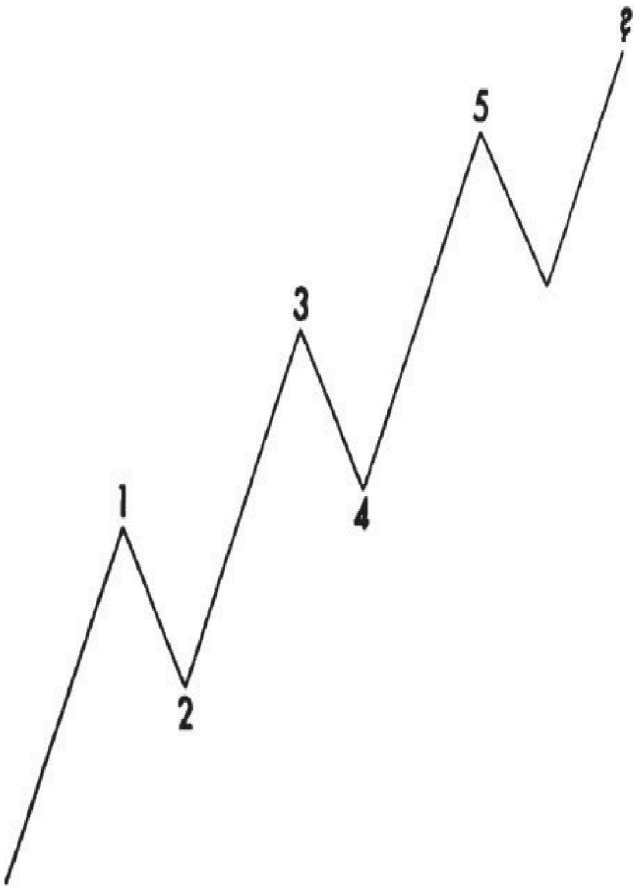


Figure 43

Wave movements occasionally taper off to a point or broaden out from a point in the form of a triangle. These triangular formations are important since they indicate the direction the market will take at the conclusion or approximate apex of the triangle.

Triangles are of two classes - horizontal and diagonal. Horizontal triangles represent hesitation on the part of prices. At the conclusion of a horizontal triangle the market will resume the same trend - upward or downward - which it was pursuing previous to triangular hesitation. Horizontal triangles are simply hesitations and have the same significance as flats. If a zig-zag appears as wave 2, a flat or triangle will appear as wave 4 (see Figure 44).[13] If a flat or triangle occurs as wave 2, a zig-zag will appear as wave 4 (see Figure 45).[1]

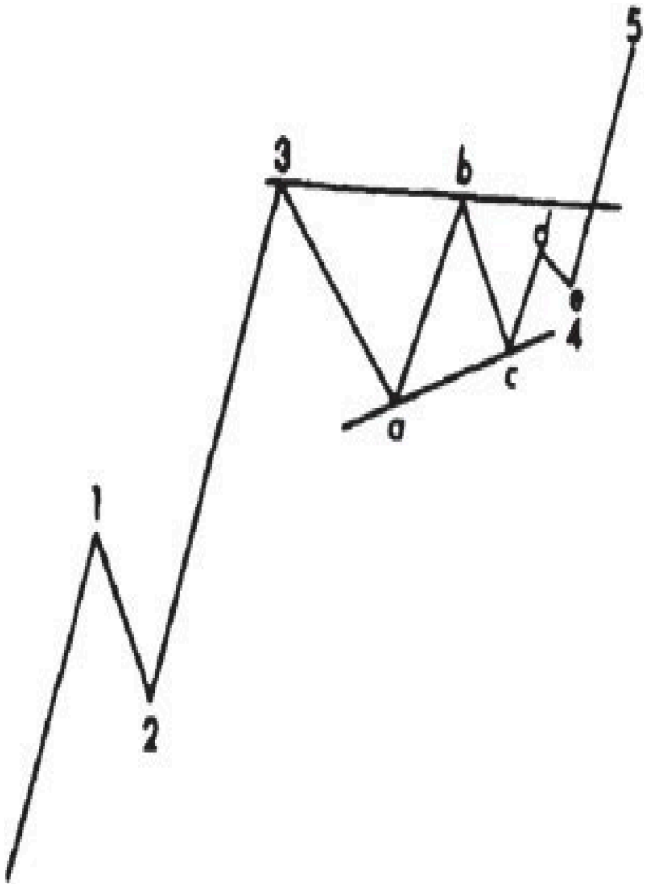


Figure 44

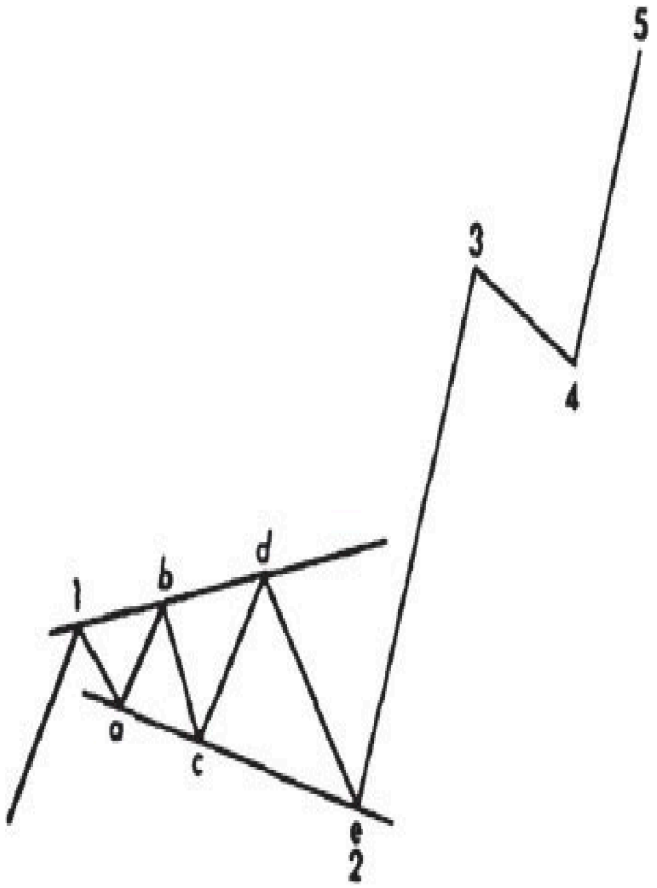


Figure 45

Examples of horizontal triangles are shown in Figure 46. They are of four types.

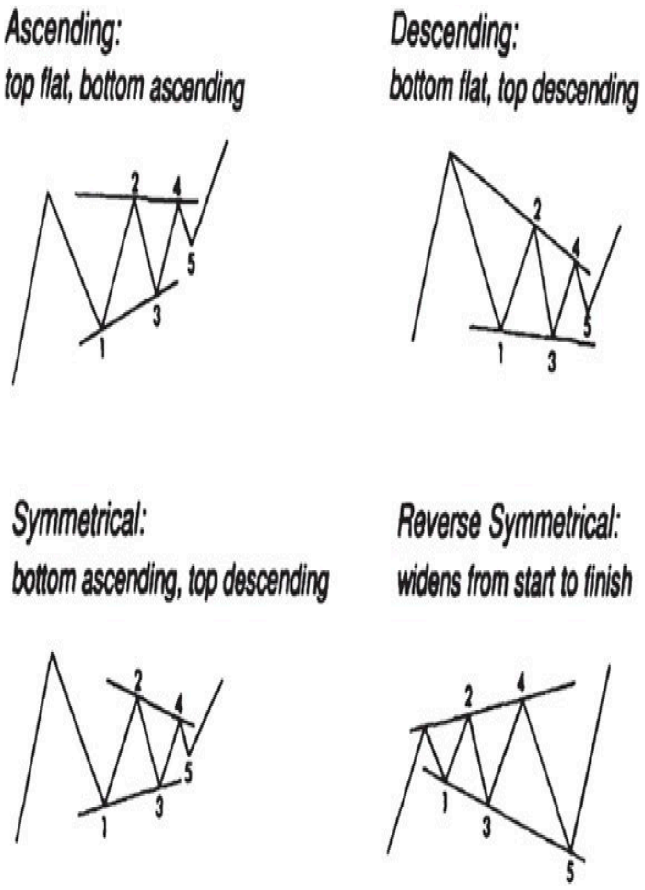


Figure 46

Examples of diagonal triangles are shown in Figure 47. They are of two types.

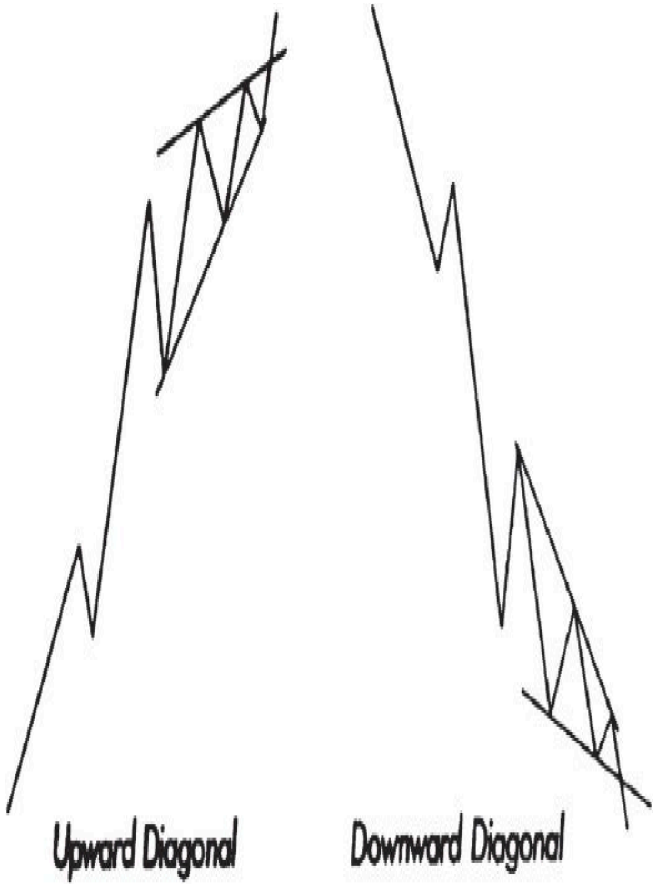


Figure 47

Triangles, whether horizontal or diagonal, as will be noted from the above illustration, contain five waves. Where there are less than five waves, the triangle falls outside the wave phenomenon, as herein discussed, and should be ignored.

The most important thing to be noted with respect to a horizontal triangle is where it begins. This is because wave number two of the triangle must be definitely fixed, and to fix wave number two it becomes necessary to identify wave number one. Wave number two is important, because when the triangle has ended the market will move from the triangle in the same direction as wave two travelled.[1] In Figure 48, the direction of wave two of the horizontal triangle is downward. At the conclusion of the fifth triangular wave, the market, which has been hesitating during the course of its downward travel M-N, will resume the decline.

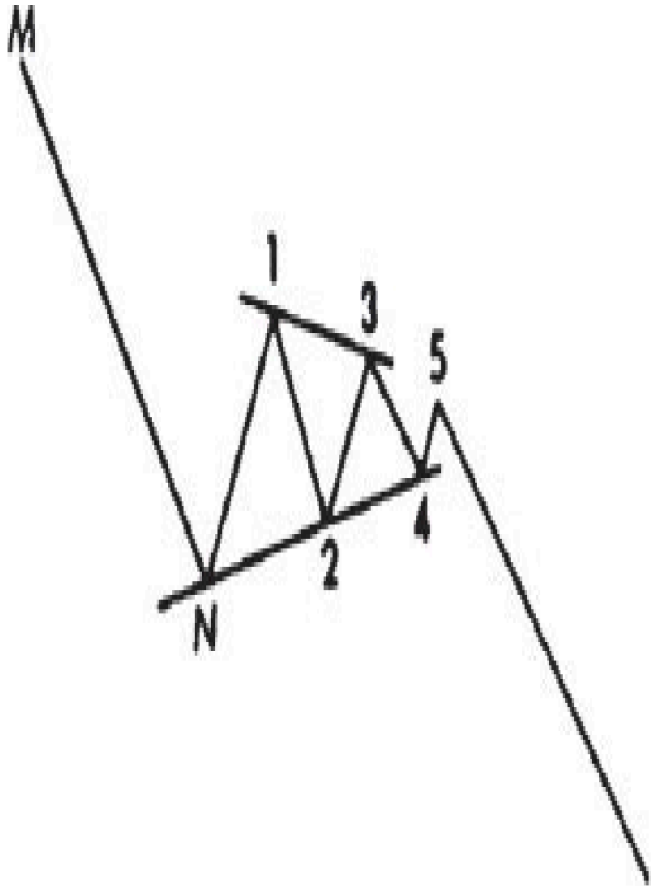


Figure 48

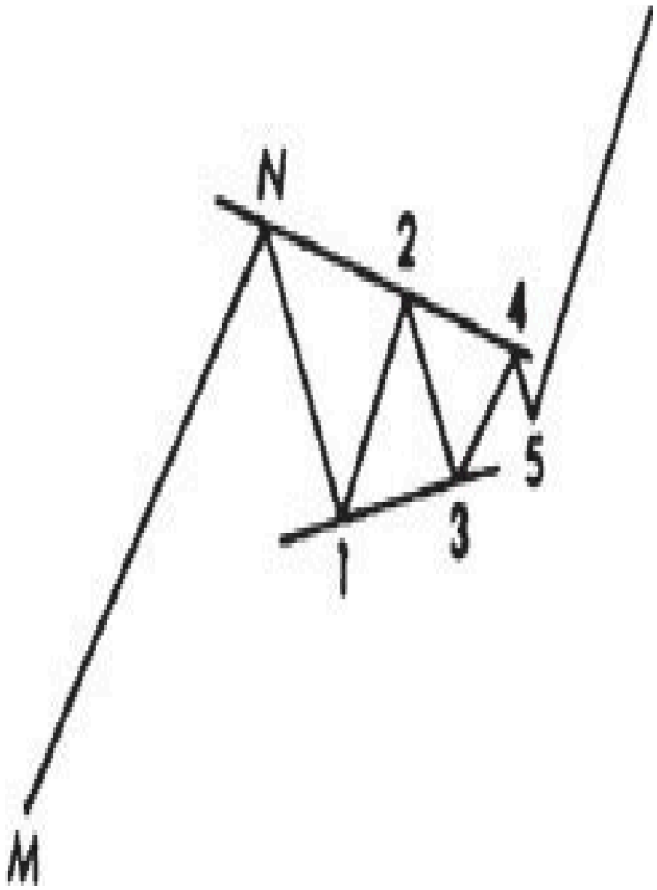


Figure 49

In Figure 49, the record of the five triangular waves is upward. The market bottomed at M and is hesitating after the upward movement M-N, prior to resuming the advance.

In Figure 50, wave two of the upward diagonal triangle is downward. The market will reverse its direction at the end of this diagonal (that is, when the fifth triangular wave has terminated) and will return to about the base of the triangle, as illustrated.

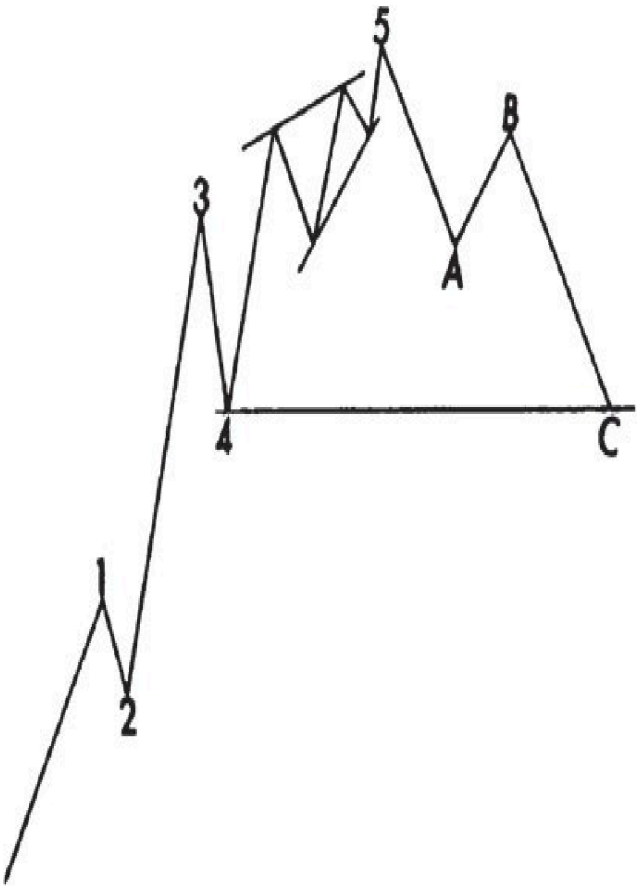


Figure 50

The fifth wave of all but reverse triangles frequently falls short of its channel or triangle line. Occasionally, however, as shown in the illustration above, the fifth wave will penetrate its triangle line.

If the last wave (the fifth Intermediate) of a Primary movement develops a triangle,[1] be prepared for a rapid reversal.

All waves in a triangle must be part of a movement in one direction. Otherwise no triangle is present, only a coincidence.

A diagonal triangle occurs only as a fifth wave; that is, it should have four waves back of it of the same degree as it will be.

When the range (weekly or daily) in a triangle embraces the entire width of the triangle, the end has about arrived. Confirmation should be required in wave number five. A throw-over is not essential.

Usually triangles are quite small, and all waves are not developed in detail. For the first time, between October 1937 and February 1938, one occurred of sufficiently large proportions to demonstrate that all five waves should be composed of three Minors. Each of these five waves formed a different pattern.[1] The Dow-Jones Industrial Average does not show this period as a triangle, but the Standard Statistics, 348 stocks, weekly range, makes a perfect picture as shown in Figure 51, a perfect triangle and the largest on record. Being a weekly range, the chart does not show the composition of each of the five waves, but another average daily range displays them as shown in Figure 66, Chapter IX.

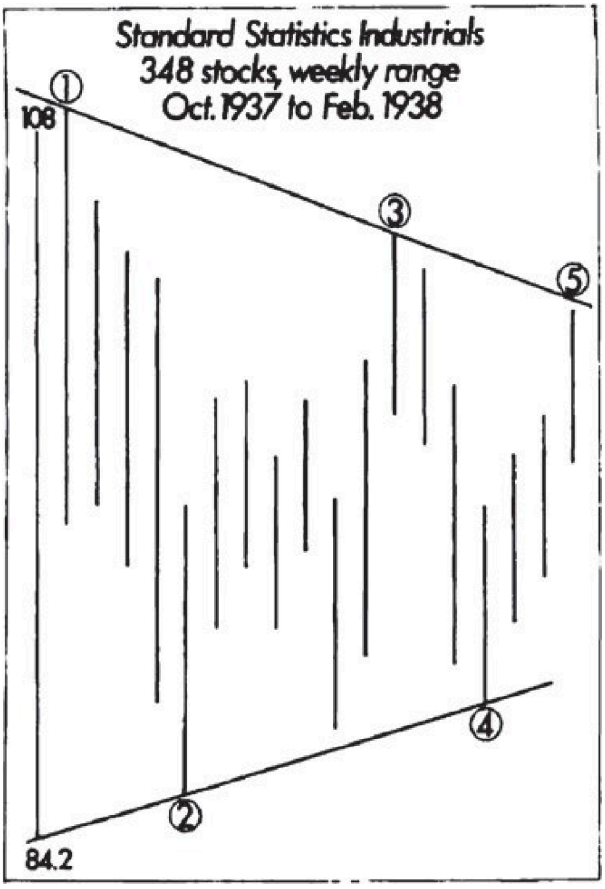


Figure 51

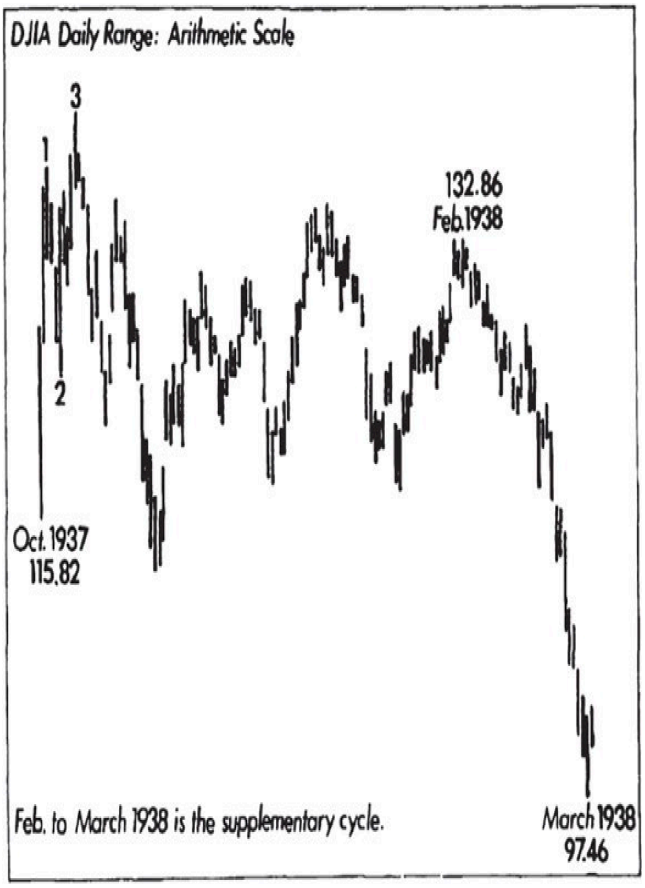


Figure 66

[1] Elliott adopted a loose form of illustration in order to make more economical use of vertical space in his books. I have changed proportions occasionally to adhere more closely to normal wave characteristics. Exceptions are the figures in the Financial World articles, which I left intact as Elliott had them.

[2] This type of comment helps moderate charges of Elliott's dogmatism.

[3] Unless they are triangles. Later Elliott discovered double threes and triple threes. These latter variations, along with double zigzags, were later added in Nature's Law.

See Endnote 2 above.

Despite Elliott's contention, experience shows that wave three is most often the extended wave. Elliott's experience with the 1921-1929 and 1932-1937 bull markets, both of which contained extended fifth waves, surely influenced his thinking on this point.

True, as far as I can tell. There are some guidelines, as Frost and I point out in our book, but no rules. See Endnote 5 in Chapter IX of the Financial World Articles and the corresponding text.

Extensions are retraced twice only if the extension occurs in the fifth impulse wave. Elliott clarifies this point in Chapter VI of Nature's Law.

Usually, although not necessarily. An irregular correction will sometimes hold above the beginning of the fifth wave of the preceding bull market. See Elliott Wave Principle.

This example is not a particularly good one. The extension in the fifth wave of the 1921-1928 rise was not retraced the first time (that is, to the "beginning of the extension") by wave A as Elliott counts it, since wave A was extremely short. Wave C as Elliott counts it did retrace much of the fifth wave twice, once in the October 1929 crash and again in the 1930 rally. A more straightforward count labeling the bottom of the October 1929 crash as "A" (an irregular a-b-c from the orthodox top) and the 1930 rally as "B" (an inverted zigzag) would better satisfy the double retracement rule.

[1] The orthodox end of a "movement" in the direction of the main trend is the terminal point of the fifth wave of a five-wave sequence. What Elliott appears to be saying here is that when an extension occurs in the fifth wave up, an irregular top will carry the market into new high ground, thereby extending the "movement" beyond the orthodox top of the fifth wave.

[11] Elliott's use of "x5" to notate an extended wave is useful. Few students have employed it.

[12]This statement is true for small degrees but not true for waves of higher than Intermediate degree. The 1961-62 rally occurred on extremely high volume and was a "B" wave. The 1930 rally, a corrective wave advance, occurred on volume higher than that at the peak in 1929.

[13]This rule is part of what was later dubbed the rule of alternation (which is in fact a guideline, as it holds in the vast majority of impulses but not all of them).

[1] Elliott later modified his rules to indicate that a triangle always precedes the final impulse wave in a sequence. Thus, a triangle can never occur as wave two in a five-wave sequence, only as wave four (or as wave B in an A-B-C correction).

[1] This discussion is superfluous if one understands the wave position of the formation.

[1] That is, a diagonal triangle.

[1] A very important point. This is another facet of the rule of alternation.

VI

SPEED, VOLUME AND CHARTING[1]

High speed by the market in one direction almost invariably produces a corresponding high speed in the reversal, as for example, the midsummer 1932 advance covered forty points (Dow-Jones Industrial Average) or 100% in nine weeks. This was equal to 4 1/2 points per week. Note the decreasing speed of advances from 1932 to 1937 in Figure 52.

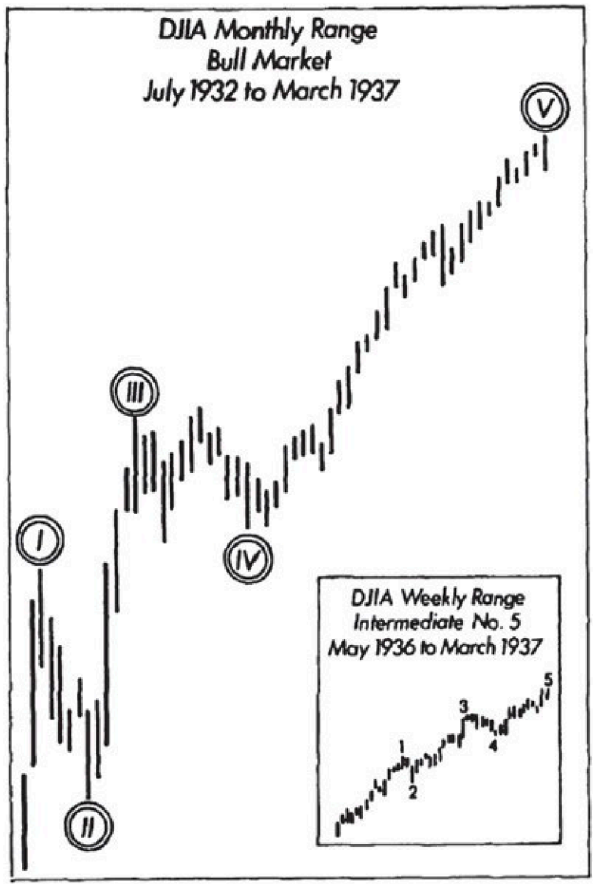


Figure 52

In fast markets like the advance of 1932 and 1933, it is essential to observe the daily as well as the weekly ranges, otherwise characteristics of importance may be hidden, such as for example, triangles and extensions.

In a subsequent heading entitled "Charting," a reference is made to "lines." In the average market, slow speed and the exclusive use of daily range may conceal important patterns. Take, for example, the period from the last week of January to the first week in June 1904, five months, during which the maximum range of daily closings (Dow-Jones Industrial Average) was only 4.09 points (50.50 - 46.41). On the daily chart, the appearance is an uninteresting line, but when condensed into a weekly range chart a perfect triangle is disclosed, with the second wave pointing upward, thus assuring the trader that the market would move upward following the end of the triangle.

Volume decreases gradually from the beginning to the end of horizontal triangles, flats and other types of corrections. Volume often helps to clarify the character of a movement. However, when markets are abnormally "thin," the usual volume signals are sometimes deceptive.

Characteristics of volume are very impressive when considered in conjunction with the five wave cycle. For example, during an advance or a decline of some importance, volume will increase during wave number one, diminish during number two, increase during number three, decrease during number four, and increase during number five. Immediately following number five, volume should be fairly well maintained, with little, if any, further progress in price, indicating reversal.

Herein reference is made to volume and ratio. "Volume" is the actual number of shares transferred, whereas "ratio" is the ratio of volume to listed shares on the New York Stock Exchange.

In its bulletin for July 1938, the New York Stock Exchange noted in chart form some interesting comparisons of volume and ratio. An upward ratio Cycle started in 1914, completed five Primaries, ending in 1929. Then began a downward Cycle, ending June 18, 1938 (see Figure 53). Precisely the same phenomenon occurred in the price of seats on the New York Stock Exchange (see Figures 54 and 55).

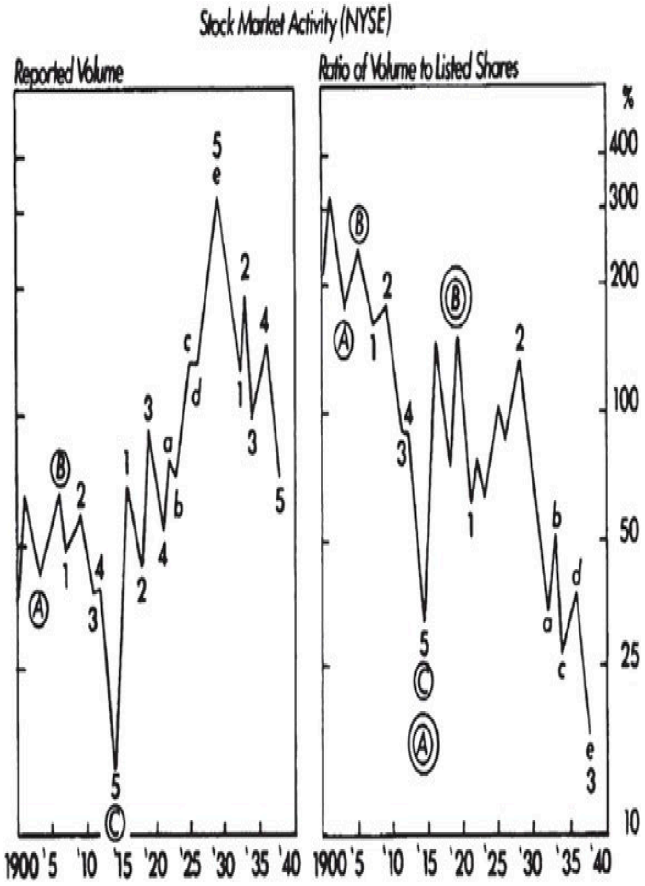

Stock Market Activity (NYSE)
Reported Volume
Ratio of Volume to Listed Shares
%
400
300
200
100
50
25
10
1900 '5 '10 '15 '20 '25 '30 '35 '40
1900 '5 '10 '15 '20 '25 '30 '35 '40

Figure 53

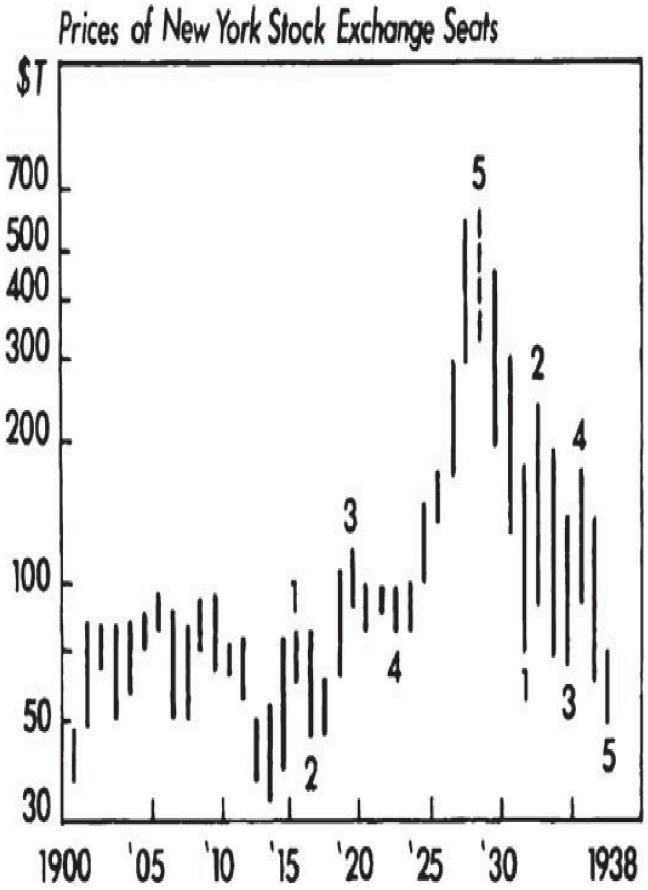


Figure 54

The ratio waves are not easy to follow in minor detail for the reason that volume varies according to the momentary direction of the market. However, as fluctuations in stock exchange seats are not affected by the momentary direction of the market, these become a useful guide to the ratio scale. See Chapter X, "The Wave Principle in Other Fields."

According to the bulletins of the New York Stock Exchange, page 11, the ratio for May 1928 was 12.48%, and the ratio for May 1938 was 0.98%. I calculate that the ratio for the first 18 days of June 1938 was 0.65%. On Saturday, June 18, 1938, actual volume was 104,000 shares, equivalent to say 200,000 shares for a five-hour session. For several weeks previous to June 18th, volume was so low that long intervals frequently occurred between sales of important stocks in the averages, with the result that occasionally Sub-Minuette waves failed to appear in the hourly waves, or registered when they should not. Hourly volume was occasionally deceptive for the same reason. Fortunately such low volume should not recur for some twenty years.

On the first page of its monthly bulletin for November 1937, the New York Stock Exchange noted volume ratio to price change of the period between August 14th and October 1937, and seven other periods of equal duration. I have reduced the comparison to percentage and find that the 1937 period was, by far, the most remarkable of all.

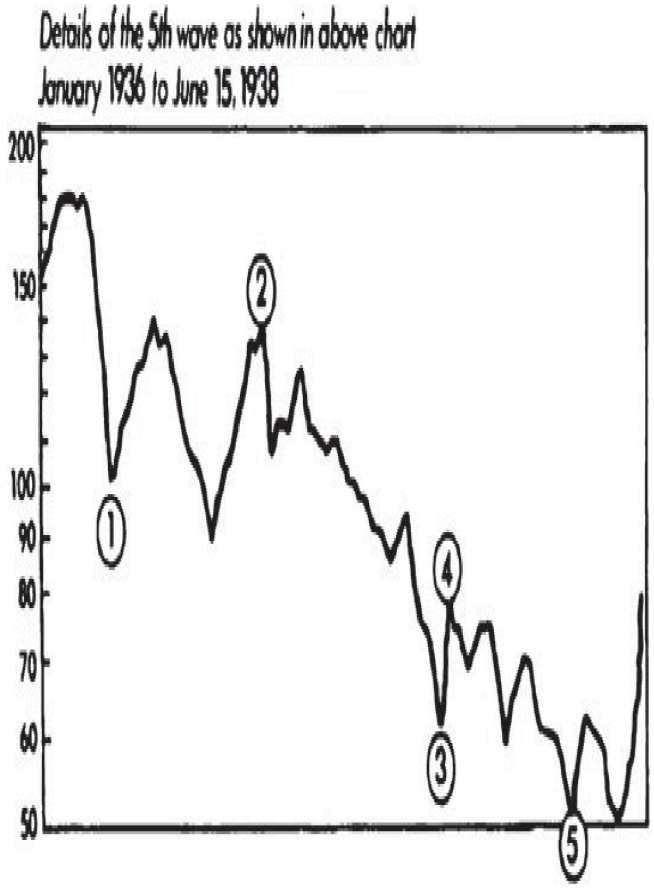


Figure 55

Data obtained from the Public Relations Department relative to money value of transactions are shown in Figure 56.

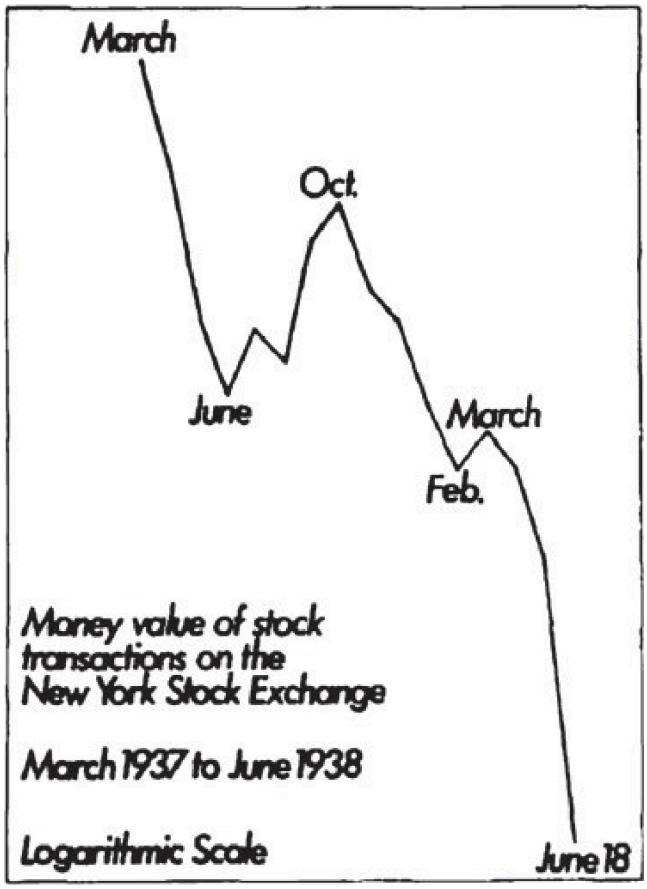


Figure 56

The following outline of comparisons is interesting: Recent bear market Top, March 10, 1937: 195.59 Bottom, March 31,1938:97.46 Decline: 98.13 points, or 50.1%. Time: 1 year, 3 weeks.

Money value of stock transactions on the N.Y.S.E.

March 1937: $2,612,000,000 May 1938: 499,000,000 June 1938 (est.): 187,000,000 Decline: 92.9%. Time: 1 year, 4 months.

Price-Volume Ratio for 64-Day Periods (which was the duration of decline from August 14th to October 19, 1937. Comparisons of this with other periods is as follows:) August 14 - October 19, 1937:22.2%. March-May 1937: 10.9%. Late 1929: 11.1%. February-April 1934: 6.5%. Other periods: 2.1% to 1.0%.

New York Stock Exchange Seats Top, 1929: $625,000 Bottom, June 15, 1938: 51,000 Decline: 92%.

Time: 9 years.

Volume decline from March 1937 to June 1938 was 87.5%.

[1] Based on the abrupt changes in organizational style (and other small points, such as spelling), I conclude that Elliott wrote and inserted Chapters VI, VII and IX after Collins' manuscript was completed.

VII

MISCELLANEOUS NOTES: CHARTING

1) Tops of big moves scatter or fan out in different groups and stocks, whereas bottoms of big moves consolidate; that is, different groups and stocks tend to establish lows simultaneously. During July 1932, for instance, bonds, stocks, production, insurance sales, and many other major spheres of human activity bottomed together (see Figures 69 through 79, Chapter X). That, of course, was a bottom to wave two[1] of the Grand Supercycle, and therefore the phenomenon was naturally drastically emphasized.

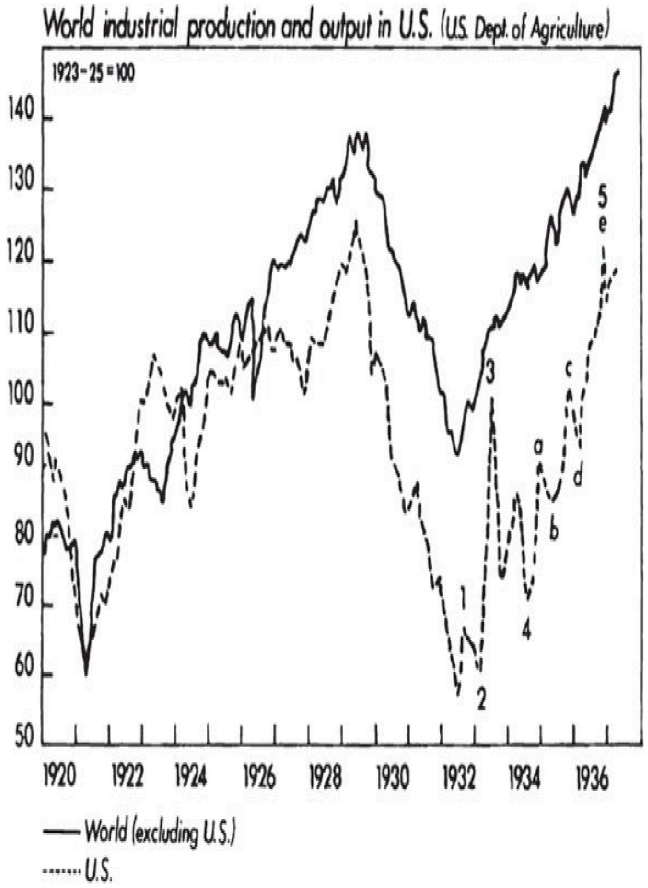


Figure 69

2) When, in the course of a move, the numbering becomes confused, the relative size of waves may help to distinguish one degree of movement from another. The use of the exposed contacts (that is, channeling them) should help to clarify the movement.

3) Always connect or channel two exposed contacts.

4) Always await development of point number four and the drawing of the final channel before determining culmination of the move (that is, the approximate point where wave five should end).

5) Width of channels must be preserved in all movements of the same category, or, stated in other words, the width of a channel of the same movement must be preserved,[2] except that number five may not reach the top of the channel.

6) The larger the category, the more probability of a throw-over.

7) In channeling: on an advance, the base line is below; on a decline, above.

8) Strength for the main move is indicated when the base line is hugged. See the movement from January 1927 to June 1928 in Figure 14 as one illustration.

9) In order to properly visualize the wave phenomenon in its larger aspects, certain methods of charting are essential, as follows: - Weekly range of the daily extreme high and low, on logarithmic scale, preferably exaggerated two or three times the usual practice.

- One sheet for each complete advance of five primaries, and its correction.

10) These recommendations apply to the three principal averages (Industrial, Rail, Utility), to small groups and individual stocks. The daily range of the three averages, of groups and of individual stocks in which the investor may be interested, should also be maintained, and ordinary arithmetic scale is satisfactory.

11) There are three important reasons why weekly range charts are necessary: - Only by this method is it possible to observe the movement over a sufficient historical background in order to judge the nature of the several degrees of waves, especially the larger.

- So-called "lines" are converted into patterns of flats or triangles, composed of three or five waves, respectively, useful in determining or confirming future movements.

- Any deceptions of the small daily range are obviated.

12) Always place the particular movement under supervision, whether it be a Minute, Minor, Intermediate, Primary, or even greater degree, on one chart. Otherwise the numbering of waves, their relative magnitude, and the channeling of movements become distorted and confused.

13) The best time measures for Primary and lesser movements are weekly, daily and hourly charts. Never be guided entirely by any one of these three important time measures, but keep them all in mind in analyzing wave numbers. In fast markets the hourly and daily movements are the best guides; in slow markets, the daily and weekly.

14) For the first time since 1928, stocks, bonds and volume ratio got into gear June 18, 1938. Only with a knowledge of the Wave Principle may these phenomena be observed and followed.

15) Some items appear to have declined in five waves. In such cases, an "irregular" top occurred and wave "C" thereof was composed of five waves, as explained under the title "Corrections."

16) In some cases it is impossible to obtain figures for charting, such as real estate, for the reason that there is no central market; the items are not standardized, and prices specified in transfers are often "nominal." The solution is found in "foreclosed mortgages." Reliable figures of these are available. When foreclosures are at a bottom, real estate is at a top, and vice versa.

17) In other cases, while reliable figures are available, it is difficult to define the minor degrees. An example is volume, which fluctuates in minor degree with the momentary direction of the market. The solution is found in prices of New York Stock Exchange seats.[3] 18) Seasonal fluctuations present difficulties which may be overcome by charting a ten year average of weeks, months or quarters, using same as a ratio basis. For example, weekly statistics of car loadings are available, and the ratio of the current week to the ten year average may be charted, thus disclosing the facts needed on which to base an interpretation under the Wave Principle.

19) When two items, which do not always travel in harmony, unite occasionally, unusual disturbance may take place, such as that described under the title "Volume."

20) Not all stocks perform harmoniously. While the principal averages topped on March 10, 1937, the several Standard Statistics groups commenced to top in November 1936, increased to the maximum number in March, then gradually decreased until May. On the other hand, stocks tend to bottom simultaneously.

[1] Four, actually.

[2] I.e., "Keep the channel lines parallel."

[3] This rather cryptic assertion is better stated in Chapter VI. Even so, since seat prices are not actively traded enough to register in "minor degree," it is difficult to see how their waves could help clarify the short term trend.

VIII

APPLYING THE WAVE PRINCIPLE

As stated in a previous chapter, the investor and speculator are greatly concerned with the termination of a fifth wave, for this marks the point at which an entire movement is to be corrected by a reversal. Stock market moves of high degree, particularly intermediate movements running over a number of months and primary movements running over a number of years, will witness, at termination, considerable price correction, and the terminal points thus call for disposition of long positions. It is likewise important that terminal points of corrections be identified, as there are price areas where long positions can most profitably be re-established.

A first consideration of an operator in stocks is to determine over what type of movement he wishes to carry a long position in stocks. Many investors prefer to operate through a Primary movement, and it is this type of movement which will be discussed here, although the same principles that apply to this movement will likewise apply to a movement of lesser degree or greater degree.

Let us assume that the investor has correctly established a long position in June 1921. From his study of the Grand Super Cycle (see Figure 12) he sees that the market started as a Super Cycle movement in 1857 and that Cycle movements one, two, three and four of the entire Super Cycle movement have been completed. The fifth Cycle movement started in 1896 and is nearly completed, in that four Primary waves have elapsed from 1896 to 1921. Primary movement number five is just commencing. It will be made up of five Intermediate movements. Intermediate movement number five will not only terminate the full Primary movement, but it will also terminate a full Cycle and a full Super Cycle. The period ahead, in other words, promises to be quite interesting.

Based upon his study of Primary movements one and three preceding the fifth one now getting under way, the investor has some gauge as to the extent and length of the movement, although, as previously mentioned, these are but rough guides due to modifying events which serve to differentiate one wave of a certain degree from another wave of the same degree. A more certain guide, however, can be derived from channelling. The Super Cycle running from 1857 has completed four waves of lesser degree (Cycle movements), and thus by connecting exposed contacts of wave terminals two and four of the Super Cycle and drawing a parallel line across the terminal point of wave three, an upper parallel is established, about which line the fifth Cycle, or that running from 1896, should end, thus completing wave five of the Super Cycle movement. Similarly, the Cycle movement from 1896 has completed four waves (Primary movements) so that, as for the Super Cycle, it can be given its final upper channel line about which the fifth Primary movement now under way should terminate.

At this point the investor, whose set purpose is to hold stocks purchased in June 1921 until the Primary movement then starting has terminated, observes those rules which will help him in selling out. Some of these rules have been previously stated; others are first presented at this time.

1) The Primary movement will be made up of five Intermediate waves. Selling is not to be considered until four Intermediate waves have been witnessed, and the fifth is under way.

2) When the fourth Intermediate wave has terminated, and the fifth gets under way, it will be composed of five lesser degree or Minor waves, and selling is not to be considered until the fifth Minor wave is under way.

3) When the fourth Minor wave of the fifth Intermediate wave has terminated, and the fifth Minor wave gets under way, it will not terminate until five Minute waves have been witnessed, and selling is not to be considered ahead of the fifth Minute wave.

4) It is probable that the fifth Minute wave of the fifth Minor wave of the fifth Intermediate wave will also be made up, based upon hourly averages, of five Minuette waves, the fifth of which waves will likewise be composed of five Sub-Minuette waves. To reach the extreme top of the Primary wave starting in June 1921, therefore, it will not be necessary to liquidate holdings until the fifth Sub- Minuette wave of the fifth Minuette wave, of the fifth Minute wave, of the fifth Minor wave, of the fifth Intermediate wave has terminated.

5) The fifth waves of a Super Cycle movement, of a Cycle movement and of a Primary movement generally penetrate or "throw-over" the upper channel line established for the termination limit of each such movement. Upper channel lines (see earlier paragraphs) have been established for the termination limit of the fifth Super Cycle wave and the fifth Cycle wave. Since the Primary movement starting in June 1921 will end a Cycle as well as a Super Cycle movement (see Figure 14), it may be anticipated that such Primary movement will not have ended until it has carried prices (on a logarithmic scale) above the upper channel lines of the Super Cycle and the Cycle. Likewise, the fifth Intermediate movement of the existing Primary - an Intermediate movement that is yet ahead - should penetrate or throw-over the upper channel line established for it.

6) Terminal points of the fifth wave of Super Cycle, Cycle, and Primary movements are usually accompanied by heavy volume of trading relative to prior waves of each such movement. Intense volume should therefore be witnessed during and near the peak of the fifth Intermediate wave of the Primary movement now getting under way.

With the above general rules in mind, the investor lets the market unfold, plotting its weekly and monthly movement in order to keep abreast of each Intermediate move as it occurs. The weekly movement is given in Figures 57 through 61. Intermediate wave one terminates in March 1923. It is made up of five Minor swings, as a glance at Figure 57 will indicate. There follows Intermediate wave two made up, as should be the case for even numbered or corrective movements, of three waves. Intermediate wave three runs to November 1925. It is succeeded by the usual three wave correction.[1]



Figure 57



Figure 58



Figure 59



Figure 60

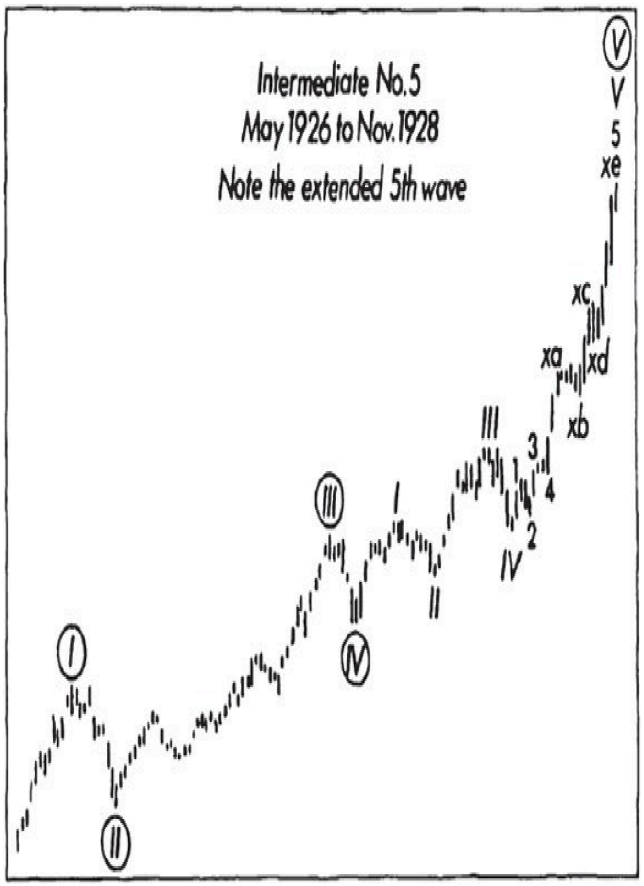


Figure 61

[1] I.e., Intermediate wave four. The abrupt termination of this discussion leads me to believe that a page was omitted from the monograph as published. In any case, the last two pages of Chapter IV can serve to complete the discussion.

IX

RARITIES IN THE 1937-1938 BEAR MARKET

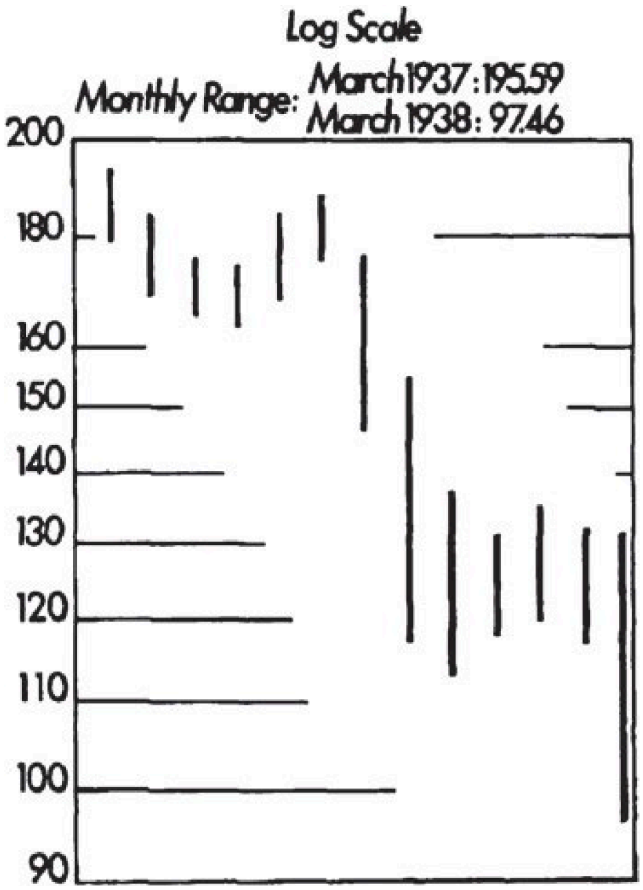


Figure 62

The 1937-1938 Bear Market (see Figures 62 and 63) provided a number of novelties, for example: August 4,1937, at 187.31, was the "orthodox" top of a rally.[1] Then followed a dip of three waves and an advance of three waves to 190.38, August 14th. Between these two dates waves A and B of an irregular correction were formed (see Figure 64). Wave C was very rapid and long, down to 115.82 on October 18th, and formed a perfect parallelogram. It has no particular significance for that reason. The speed and extent were spectacular, and indicated by the "irregular" top, the same as that of 1928/1929/1932 (see Figure 65).

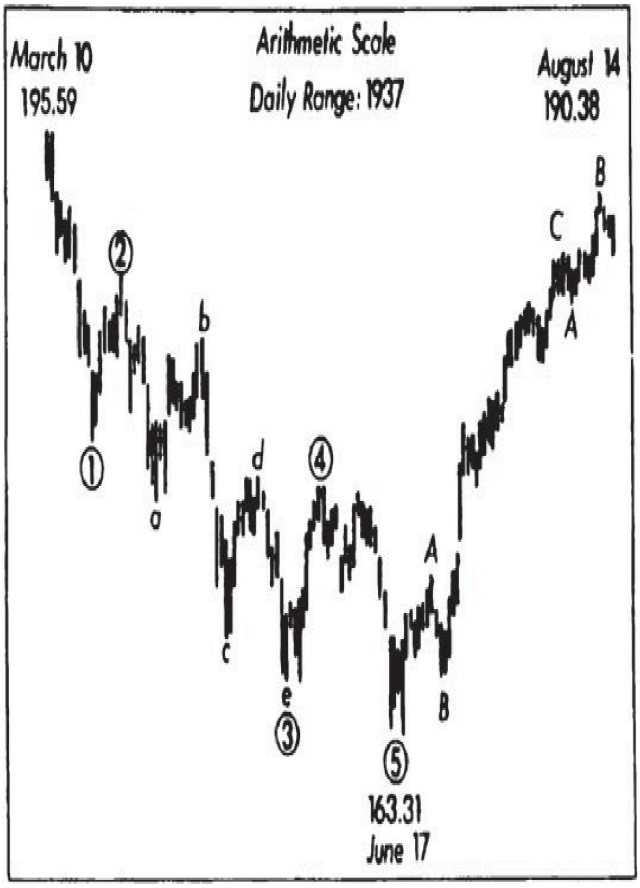

March 10
195.59
Arithmetic Scale
Daily Range: 1937
August 14
190.38
B
C
A
b
②
①
a
d
④
c
e
③
A
B
⑤
163.31
June 17

Figure 64

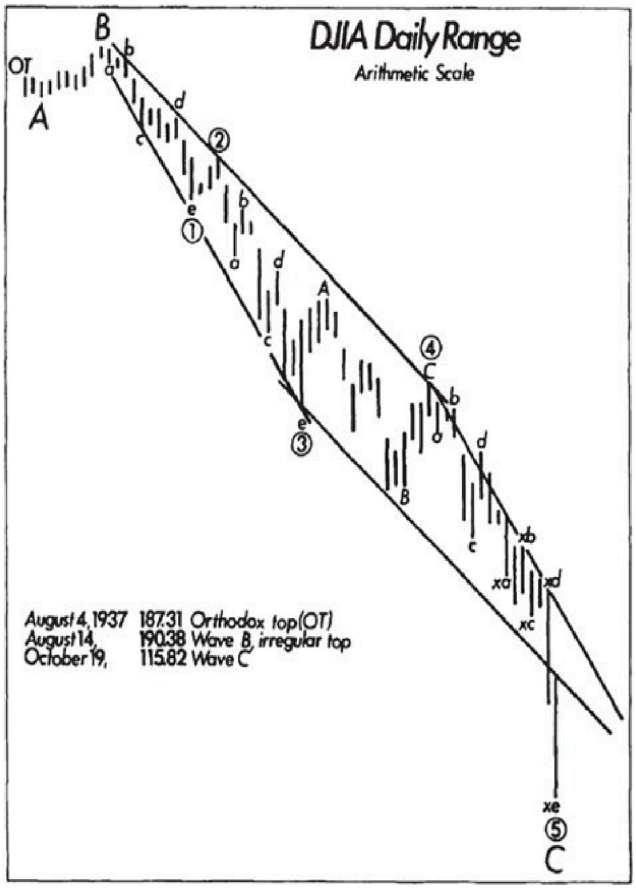

DJIA Daily Range
Arithmetic Scale
August 4, 1937 187.31 Orthodox top (OT)
August 14, 190.38 Wave B, irregular top
October 19, 115.82 Wave C

Figure 65

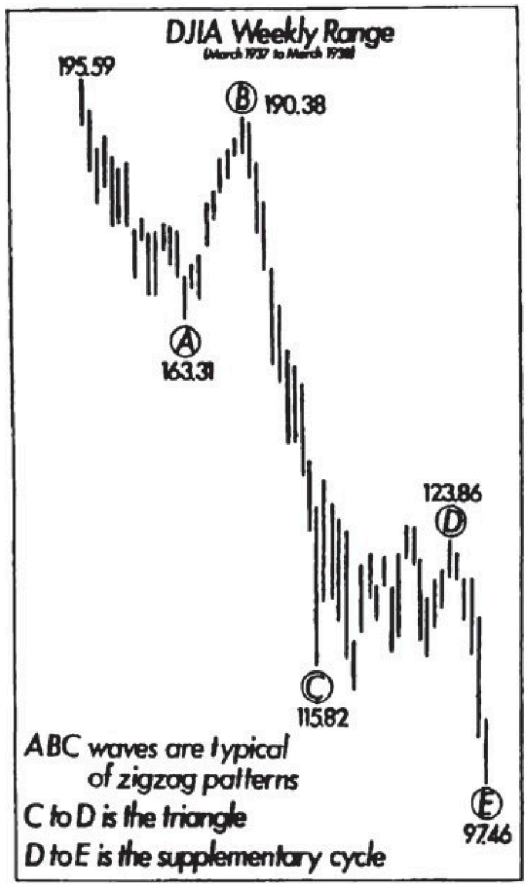


Figure 63

Figure 65 embodies the greatest number of interesting features known to the author. Note the parallelogram pattern. The "irregular" top, OT to B, forecasts a severe decline. The extension xa to xe forecasts an immediate retracement in three waves to xb and eventually lower prices than xe. The first retracement was composed of three waves as shown in Figure 66, which confirms lower levels. The zig-zag A-B-C in Figure 64 indicates that the correction subsequent to C in Figure 65 will be a flat or triangle. The triangle shown in Figure 51 reconfirms lower levels as per Figure 66, February to March 1938.

Half Moon[2] This is a name given to the pattern which developed between February 23 and March 31, 1938, 132 to 97. It curved downward and at bottom was almost perpendicular (see Figures 66 and 67).

The extension down to 115.82 (refer to Figure 65) forecast this lower level. The first advance, from 115.82, being composed of three waves, confirmed. The triangle reconfirmed.

The same pattern occurred in April 1936, 163 to 141. Both were retracements of extensions. On account of the high speed it is necessary to refer to the hourly record, especially during the latter half.

From September to November 1929, wave 1 from 381 to 195 was extended and immediately retraced in 1930. No extensions appeared in waves 3 or 5 because one occurred in wave 1 as just described (see Figure 19, arithmetic scale). If the extension had occurred in wave 5 instead of wave 1 during 1932, the appearance of the decline from September 1929 to July 1932 would have been the same as the "half moon" of February-March 1938.

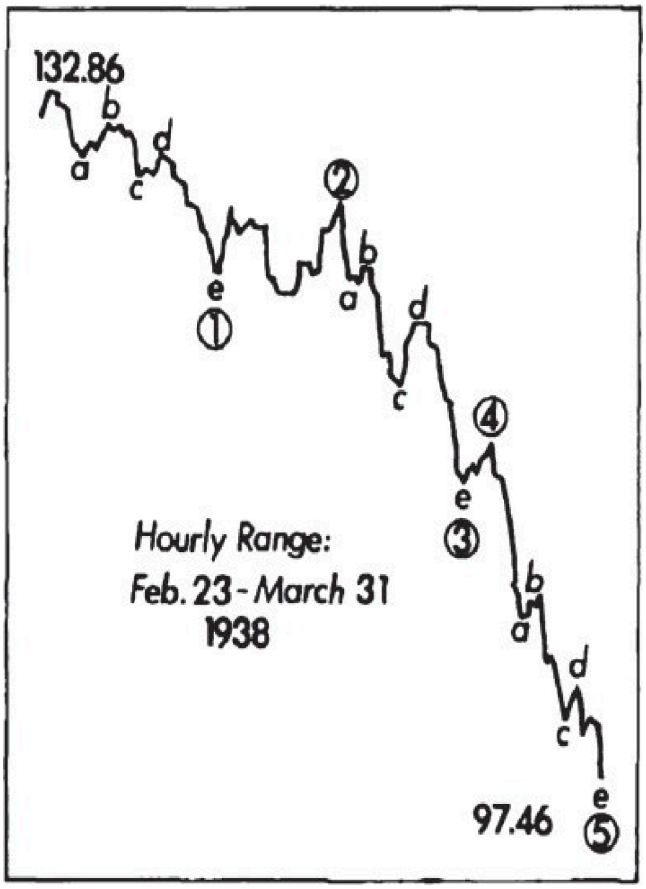


Figure 67

Supplementary Cycles[3] Insofar as records disclose, 1938 witnessed the first Industrial Supplementary Cycle (see Figures 66 and 67), February 23 to March 31, 1938, 132 to 98. Heretofore termination of wave "C" with five waves has been the end of major corrections, as in 1932. This same phenomenon occurred in the Rails and Utilities between December 1934 and March 1935.

The movement from 97.46 to 121.54 (see Figure 68) is composed of five waves and is the first upward five wave pattern of this degree since March 1937 and confirms that 97.46 of March 31 was the bottom of wave A of the bear market.

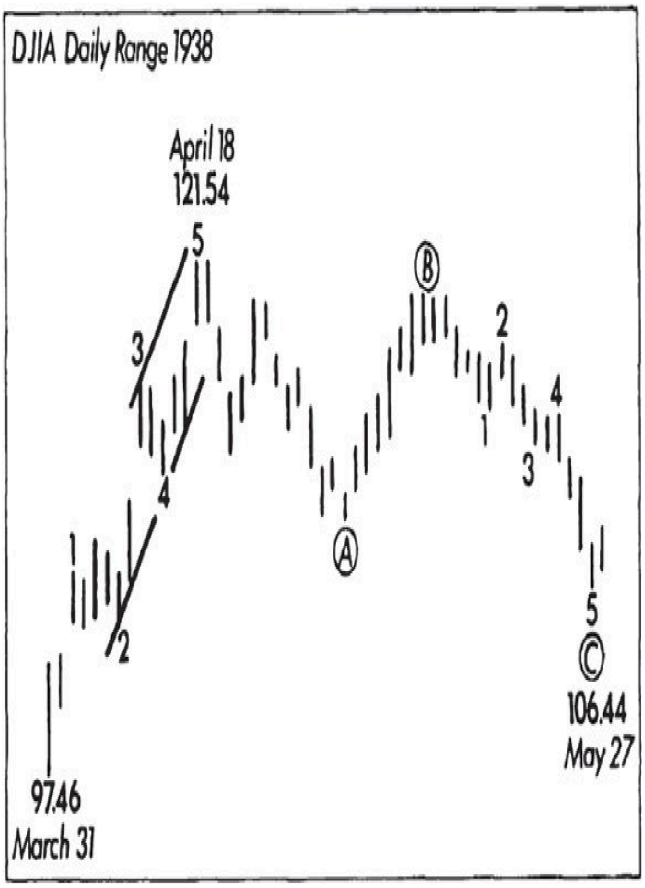


Figure 68

The 106.44 level of May 27 is the end of a typical flat correction from 121.54.

[1] Elliott should have interpreted this entire picture differently. The supposed waves A and B at the upper right of Figure 64 are way out of proportion to the huge C that follows. Wave C as he labels it is actually wave three of the five- wave decline that he labels wave © in Figure 63. The orthodox top of wave two is on August 14 at 190.38 and is followed by five waves down for wave three, as it should be. A correct count for Figure 64 would be as follows: Where Elliott has a , put 1; where he has b, put 2, completing an irregular correction that subdivides perfectly; where he has c, put 3; where he has d, put 4; where he has , put 5. Then an irregular correction upward follows: where he has , put A; where he has , put B; then a C can be placed at the August 14 high on the top of a clear nine-wave advance (five waves with extension).

[2] These comments are important in predicting the speed of corrections. Unfortunately Elliott never expanded on these thoughts in later writings.

[3] Elliott's use of this term is confusing initially. He doesn't define it and fails to illustrate his thoughts completely. What he is saying is that where he expected an A-B-C bear market, he got five waves down instead. His "supplementary cycle" is merely the fifth wave of a five-wave count, whereas at the time of writing he felt that it was somehow an additional decline following an A-B-C correction.

The 1937-1938 decline forms a clear five-wave pattern (see Figure 63), which completes only wave of the bear market of 1937-1942. While this fact seems to elude Elliott in these paragraphs, other sentences clearly indicate otherwise. In two instances (the first page of the book, and the final sentences in this chapter, which were originally placed with Figure 68), he makes it clear that he recognizes the correct interpretation. It appears that he is actually giving two different interpretations of the 1937-38 bear market in this book. Perhaps he recognized the correct interpretation as the book was going to press and made some quick references to his new thoughts on the first and final pages. On the other hand, perhaps he had the correct interpretation at the time of writing but inadvertently included his previous incorrect notes when he inserted Chapter IX, describing additional formations, into Collins' manuscript.

In nearly the last words of the book, Elliott correctly concludes that the March 31, 1938 low was only wave A of a large A-B-C bear market. This interpretation properly forecasts the lower low in 1942.

X

THE WAVE PRINCIPLE IN OTHER FIELDS

For years the word "cycle" has been in common use, but always in a rather loose manner implying merely a broad upward and downward movement. Thus, as concerns the course of trade in the United States, some economists refer to the period 1921-1932 as a completed cycle; others say that the period contained three cycles of lesser or greater intensity - the movement from early 1921 to mid-1924, from 1924 to late 1927, and from 1927 to mid-1932. In general, the cycle has been recognized in a rough way, largely for the reason that, in its extreme aspects, it necessarily intrudes on our plans and opinions, but the underlying law of the cycle has eluded the observer.

This treatise, using the stock market as but one illustration, has dealt with the law of the cycle, and in the disclosure has shown how one cycle becomes but the starting point of another, or larger, movement that, itself, is a part of and subject to the same law as the lesser movement. This is entirely consonant with every study of Nature, for we know that She has ever unfolded in an upward direction, but always in an orderly progression. Underlying this progression, however, in whatever field, is a fixed and controlling principle, or the master rule under which Nature works. It has been the purpose of this volume, first to present the law and then to show its practical application in one of the most baffling fields of analytical research.

Merely as cursory examples of the operation of the Wave Principle in other fields, we have presented some graphs herein, chosen at random, which readily illustrate that the law is at work wherever motion exists (see charts 69 through 78). It is recommended that this subject be given further attention by students in fields of activity outside the stock market, as it should simplify and clarify their particular work.

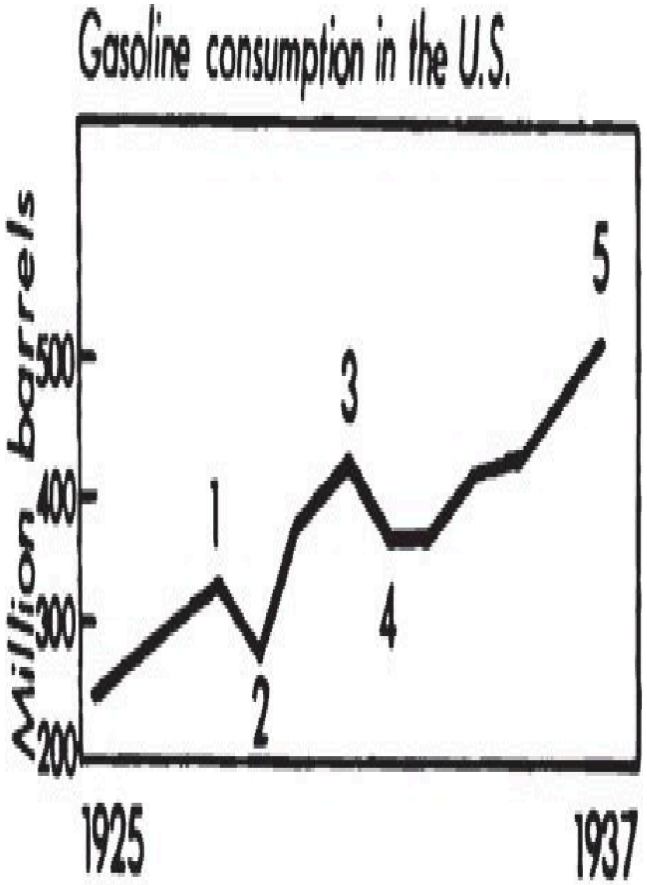


Figure 70

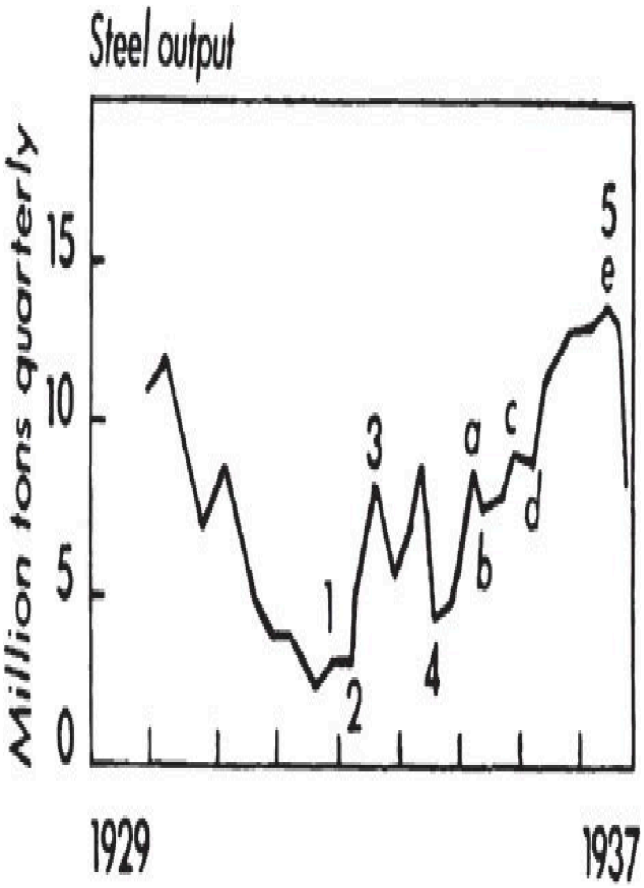

Steel output
Million tons quarterly
15
10
5
0
1
2
3
4
a
b
c
d
5
e
1929
1937

Figure 71



Figure 72

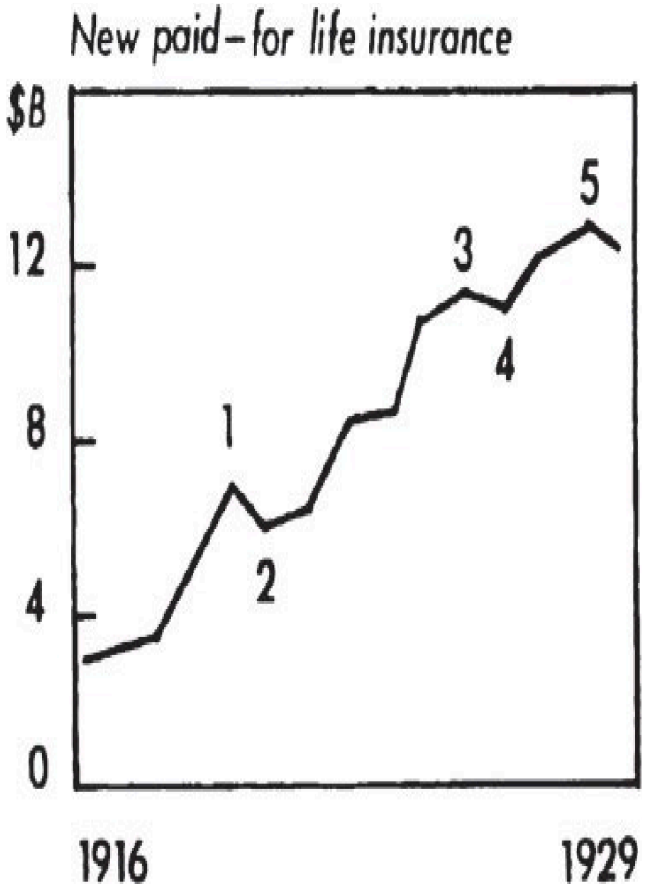


Figure 73

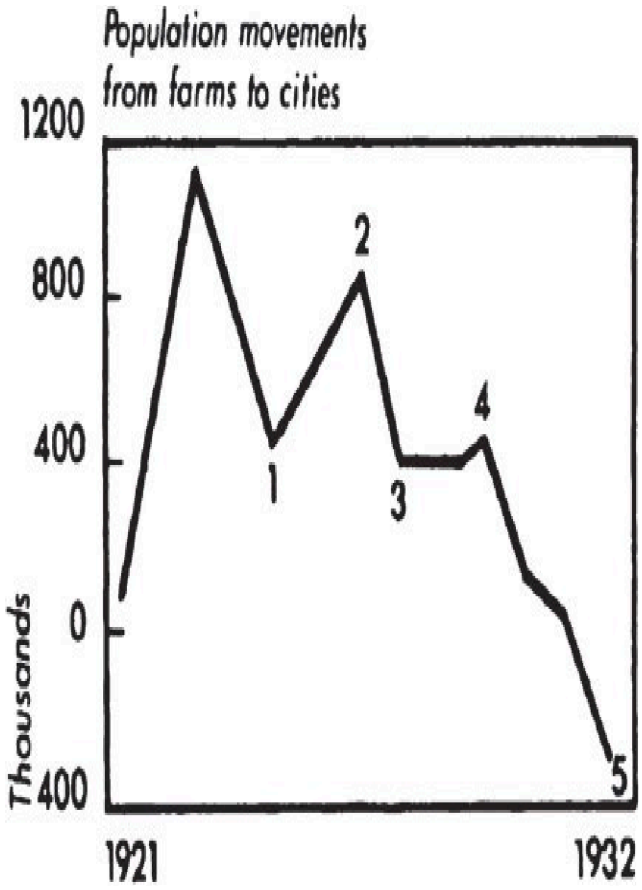

Population movements
from farms to cities
1200
800
400
0
400
Thousands
1
2
3
4
5
1921
1932

Figure 74

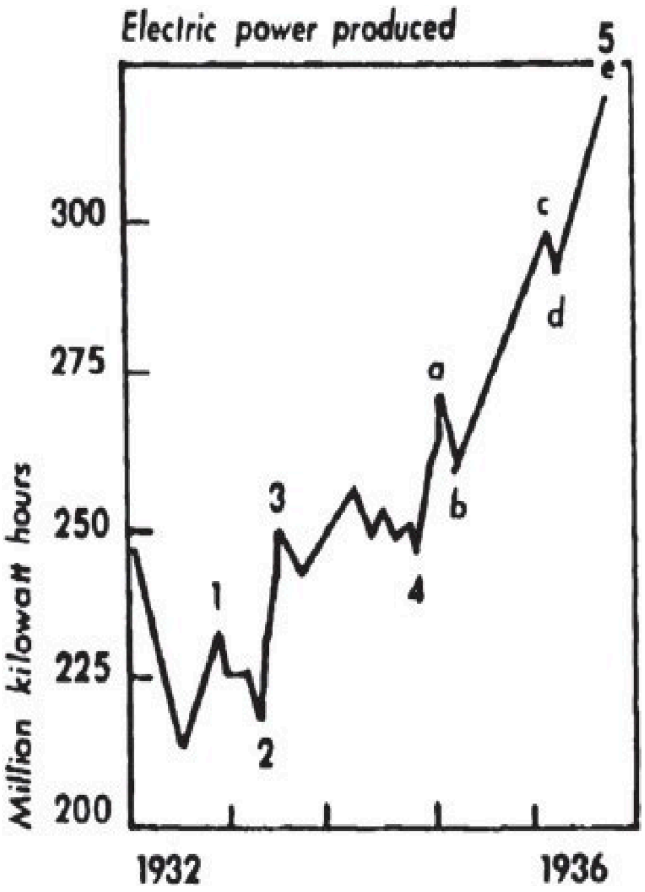

Electric power produced
Million kilowatt hours
300
275
250
225
200
1932
1936
1
2
3
4
5
a
b
c
d
e

Figure 75

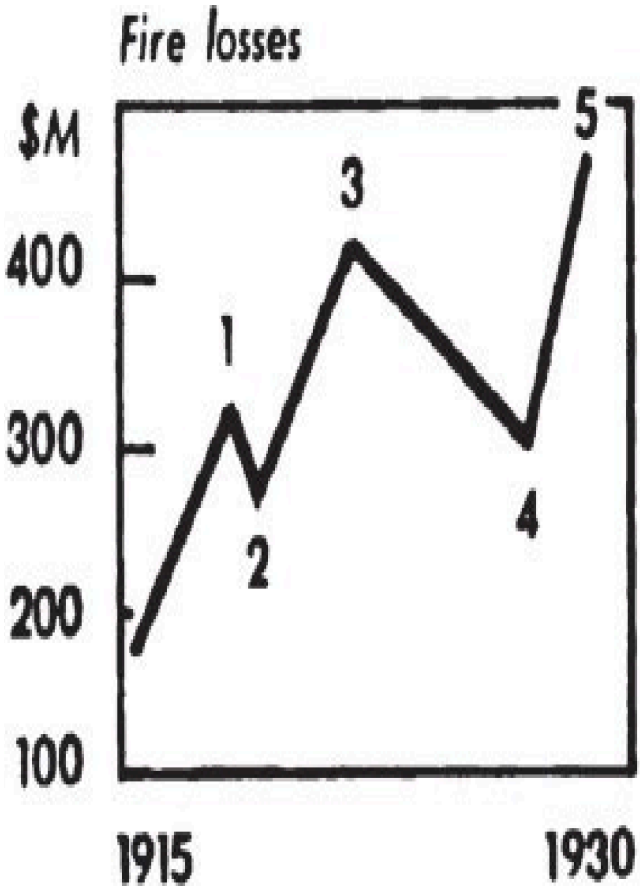


Figure 76

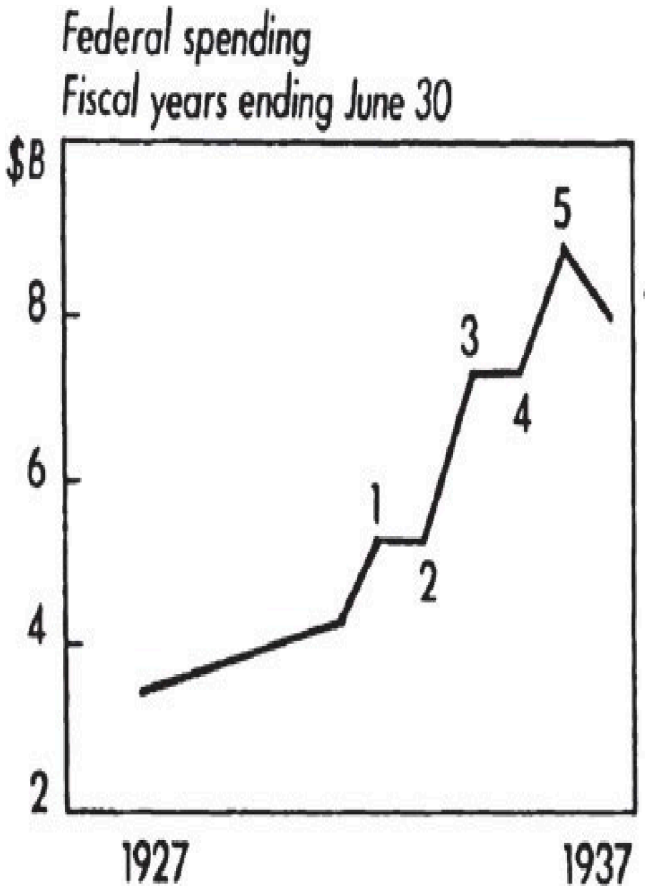

Federal spending
Fiscal years ending June 30
$B
8
6
4
2
1927
1937
1
2
3
4
5

Figure 77

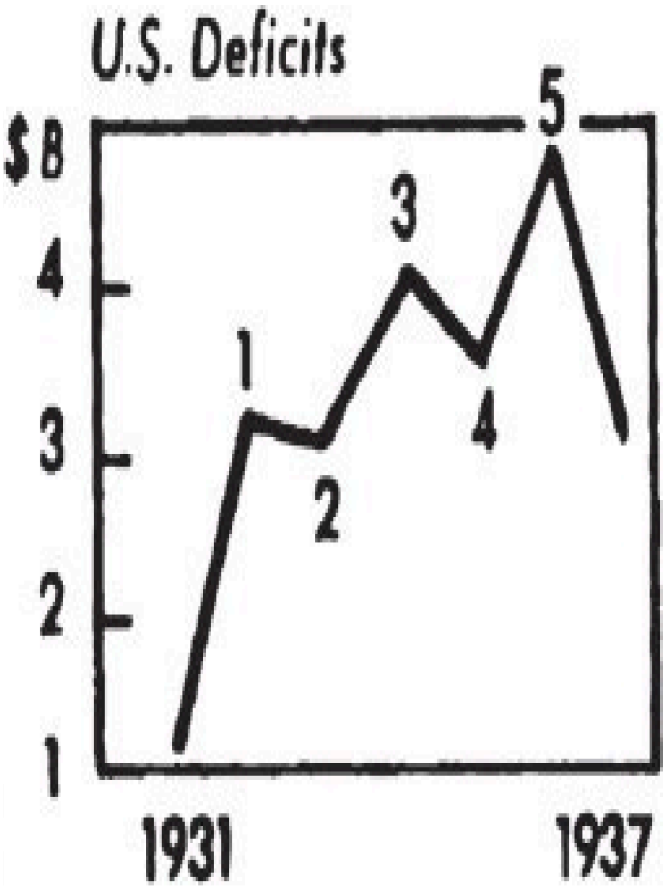


Figure 78

By no means do cycles of different items top and bottom together. Two or more may top together but bottom on widely different dates, or vice versa. A few items are noted below: After bottoming in 1932, bonds made an orthodox top in April 1934, at which time stocks would probably have topped likewise but for the N.R.A.[1] Following the orthodox top in 1934, bonds described an immense "irregular" correction with wave "B" topping in December 1936, then bottoming in wave "C" with stocks in March 1938.

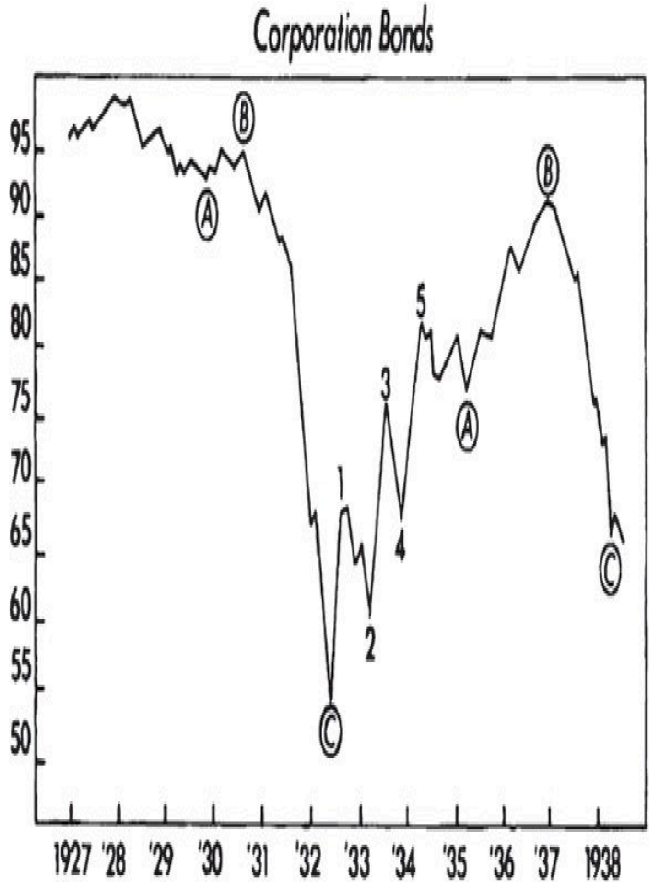


Figure 79

[1] N.R.A. refers to the National Industrial Recovery Act, enacted in 1933.